AcqVault | FIELD GUIDE

VOL 02

The Unlimited Warrant Board

Build the script. Spot the issue. Say it like a PCO.

VOLUME 2 · BOARD PREP

Every topic taught the way the board tests it: the knowledge, then the walkthrough, then messy scenarios with follow-ups — so the answer comes out of you in the chair, not just on the page.

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READ THIS FIRST

How this guide works

The board is not a recall quiz. A panel hands you a messy, realistic situation and watches whether you can **recognize which framework applies**, walk it in the right order, and keep your footing through follow-up questions. So every topic here is built in two layers:

LAYER A — BUILD THE SCRIPT

LEARN A clean scenario puts you in the seat. You learn the **trigger features** that identify the topic, then **walk the situation** step by step — each step is one action, with the rule that justifies it restated right inside the step. A **Know cold** box consolidates the facts you must be able to say from memory, and **Common follow-ups** pre-answers the panel's likely probes.

LAYER B — TRAIN THE SKILL

DRILL A **messier scenario** follows — loaded with distractors that bait you toward the wrong framework, the way real fact patterns do. Answer it out loud *before* reading the debrief, which walks the facts one by one: what's a red herring, what actually governs. Then **retrieval prompts** make you produce the key facts from memory — because retrieval, not re-reading, is what makes it stick.

How to study from it: don't read cover-to-cover once. Do a topic's Layer A, come back to its Layer B a day later, and mix in scenarios from the back-of-book **Scenario Bank** — they're deliberately unlabeled so you practice spotting the topic first, exactly like the chair. Space it out; interleave; answer out loud.

Citations reference the **RFO** (Revolutionary FAR Overhaul) and **R-DFARS** deviations — the governing text. Verify anything you'll say at the board against the current text (searchable free at acqvault.com). Thresholds current as of July 2026.

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The Board, and How to Answer It

What the panel is actually testing — and a repeatable way to open every answer.

The unlimited warrant board is a panel of senior contracting professionals handing you realistic, messy situations and probing with follow-ups. It is not a recall quiz. What they're grading: can you **recognize the governing framework** inside noise, **walk it in order**, **know the load-bearing facts cold**, and **keep your footing** when they push two levels deeper. Memorization gets you through the first question; structure gets you through the hour.

Open every answer the same way

1. **Name the framework.** "This is an RFO Part 6 competition question" / "This is fiscal law — Time, Purpose, Amount." Naming it first proves recognition and buys you three seconds to organize.
2. **Name your help.** "I'd bring in Legal early — and the Competition Advocate, since it routes through them." Boards reward knowing *who* as much as knowing *what* — a PCO who calls the right experts early is a PCO they can trust with an unlimited warrant.
3. **State the default rule before the exception.** Competition is the rule; certified data is required unless excepted; contractors furnish their own property. Starting from the default shows you know where the burden sits.
4. **Walk the steps — action by action.** Numbered, ordered, each with its reason. When you don't know a detail, say how you'd find it ("I'd verify the current threshold before signing — it moved in 2025") — honest process beats confident error every time.
5. **Land it.** One closing sentence with your decision and its safeguard: "So: cure notice now, default only if the cure period fails, with Legal at each step."

YOUR SELF-INTRODUCTION — HAVE IT SCRIPTED

- **Arc:** your contracting background — the variety of contract types, dollar ranges, and situations you've worked.
- **Range:** anything beyond standard FAR-based work — contingency, OTAs, interagency — that shows breadth.
- **The gap:** what your current warrant can't reach, concretely.
- **The close:** what the unlimited warrant enables for the mission and your people — not for your resume.

BOARD-DAY WATCH-OUTS

- Don't recite regulation numbers you can't back up — cite the Part, own the concept, verify the subsection.
- When a follow-up exposes a gap, close it honestly ("I'd confirm that with my pricing office") — never bluff a threshold.
- The panel chains topics on purpose: an options question becomes fiscal law becomes claims. Feel the seam and name the new framework as you cross it.

Acquisition Planning & Strategy

Governed by RFO Part 7 — the thinking (and the document) that comes before everything else you'll be asked about.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **follow-on effort** with the clock running and no strategy.
- A team that's **new to acquisition** asking "how should we buy this?"
- A choice between **competitive and sole-source** postures.
- The words *acquisition strategy, strategy meeting, way ahead.*

THE SCENARIO

You inherit a program whose development contract expires within the year. The PM — whose team is new to acquisition — invites you to a production-strategy meeting starting in an hour and wants you to frame the follow-on options. Your job: structure the strategy conversation a warranted officer should lead.

ANCHOR & WHO YOU CALL This is **RFO Part 7**. The planning table seats the **PM, engineers, FM, small business specialist, and Legal** — the PCO convenes the business strategy.

Walk the situation

1. **Start the strategy from competition, not from the incumbent.** The default posture for the follow-on is competitive — the questions that could move it are capability, data rights, tooling, and switching costs, *each of which must be a documented fact, not a program preference.*

2. **Ask the market question before the authority question.** Can anyone else build/produce this? That's market research (fresh, not development-era) — sources sought, industry engagement, capability analysis. Only if the honest answer is "no one" does the Part 6 exception conversation begin, *with a J&A whose market-research section is its spine.*

3. **Inventory what the Government actually holds.** Data rights and deliverables (can a competitor build it?) · GFP/tooling · qualification requirements · funding profile and colors for the transition years, *because strategy is constrained by what earlier decisions bought — say so out loud when it was bought badly.*

4. **Frame contract type and vehicle against production risk.** Maturing design → the FPIF-toward-FFP glide path; quantity certainty → the IDIQ-vs-annual-buys decision; schedule seams → options and their gates.

5. **Put it in writing at the right formality.** The written plan scales with the program — milestones, risks, competition approach, small business posture, type rationale, *and its real function is forcing the disagreements now, while they're cheap.*

KNOW COLD

- **Planning inputs:** fresh market research · data rights/deliverables inventory · GFP/tooling · funding profile · qualification barriers.
- **Sequence:** market answer → competition posture → authority (if any) → vehicle/type → plan in writing.
- **Sole-source follow-on:** a market-research-backed J&A, never a scheduling convenience.
- **The bridge rule:** genuine unforeseen causes only — planning failure is disqualified by name.
- **Planning team:** PM · engineering · FM · SB specialist · Legal · PCO convening the business strategy.

COMMON FOLLOW-UPS

"What factors drive competitive vs. sole-source for the follow-on?"
Data rights and technical data sufficiency · qualification/switching costs and time · industrial base capability · urgency honestly assessed · lifecycle economics of a second source. Facts on each, in the file.

"How do you find out if other sources can perform?"
Fresh sources-sought and RFIs · industry days · capability analysis against the tech data package · other services'/agencies' experience with similar builds.

"And if truly no one else can?"
RFO 6.103-1, one responsible source — with the J&A at the right approval tier and market research that would survive a competitor's lawyer reading it.

WATCH-OUTS

- The strategy meeting an hour from now is the trap — commit to the process, not to an answer in the room.
- Planning failures compound: late strategy → bridge → weak J&A → protest. Boards love tracing that chain backward.
- Chains into everything — this topic is the hub; expect the follow-up to pick any spoke.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Eight months before a satellite-imagery software sustainment need begins, the PM tells you she's unhappy with the incumbent developer and "wants competition this time — put out an RFP next month." The system was built on the incumbent's commercial platform; the development contract delivered binaries and user manuals; the Government "probably has rights to something, nobody's checked." Two integrators have expressed informal interest, "assuming they can get the code."

DEBRIEF — WHY IS EACH FACT HERE?

"Wants competition — RFP next month" — bait
Desire isn't feasibility. An RFP before the rights-and-deliverables inventory is a solicitation you may have to cancel — strategy first, paper second.

Binaries and manuals delivered — governs
The competition's real constraint: without source, build environments, and interface data, "assuming they can get the code" is doing tectonic work. What we hold decides what we can compete.

> **Commercial platform underneath** — governs
> The platform rides its commercial license — a competitor needs lawful access. That's a licensing workstream inside the strategy, not a footnote.

> **Two interested integrators** — governs
> Real market signal — formalize it with a sources-sought shaped around what the Government can actually furnish, and let their responses size the feasible competition.

Board-ready answer, one breath: "Eight months is enough if we spend it right: first the data-rights and deliverables inventory — what we hold decides what we can compete; then a sources-sought built on what we can actually furnish; then the strategy call. If the inventory says competition isn't feasible yet, the honest plan may be a shorter incumbent bridge *while we buy the deliverables that make next cycle competitive* — and that gets written down as the strategy."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Five factors in the competitive-vs-sole-source call.
2. What inventory precedes a sustainment competition decision?
3. What can never justify a bridge?

Answers: 1) Data rights sufficiency · switching/qualification costs · industrial base capability · honest urgency · second-source economics. 2) Data rights, deliverables (source/build/interfaces), GFP/tooling, licenses, funding. 3) Lack of advance planning.

TOPIC · RFO PART 1

Authority, Unauthorized Commitments & Ratification

Governed by RFO Part 1 — who can bind the Government, and RFO 1.405 when someone who couldn't, did.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **COR, PM, or user** told the contractor to do something — and the contractor did it.
- A contractor **seeking payment for work you never put on contract.**
- Someone "verbally approving" a purchase, a change, or new work.
- The words *ratification, apparent authority, the contractor already started.*

THE SCENARIO

A COR on one of your service contracts told the contractor to stand up an extra help-desk shift "starting Monday." The contractor performed for six weeks and has now invoiced $180K the contract doesn't cover. The COR says he was "just keeping the mission moving." Your job: figure out what happened, whether it can be fixed, and how to keep it from happening again.

ANCHOR & WHO YOU CALL This is **RFO Part 1** — ratification sits at **RFO 1.405**. I'd bring in **Legal** immediately, and my **COCO**, because the fix routes through approval authority.

Walk the situation

1. **Name it: this is an unauthorized commitment.** Only warranted contracting officers bind the Government. Authority is **express** (written, explicit) or **implied** (inferred from the position and still valid) — but **apparent** authority, someone *acting* authorized, binds nothing. A COR has no authority over price, terms, or schedule, *because all contractual direction flows through the PCO — that's the whole point of the warrant.*

2. **Stop the bleeding.** Get word to the contractor — through me, in writing — that the direction was unauthorized and performance beyond the contract is at the contractor's risk. Freeze anything still running, *because every additional day of unauthorized performance deepens the problem I have to ratify.*

3. **Investigate and build the ratification package.** Gather the facts promptly: what was directed, what the Government received, proof of benefit, fund availability then and now, and a **signed statement from the person who made the commitment**. The ratification tests all have to pass (RFO 1.405): the action *would have been proper* if a CO had done it · the Government **accepted or benefited** · the ratifying official has **actual authority** · the price is **fair and reasonable** · **funds were available at the time and remain available** · Legal concurs.

4. **Route to the right ratifying authority.** Over the SAT ($350K) the ratification goes up to the **HCA** (delegable); at or under SAT it can be handled at the **COCO** level. My $180K commitment → COCO, *and if any ratification element fails, the contractor's path is a claim — not a mod I can sign.*

5. **Prevent the next one.** Kick-off meetings that draw the authority lines · appointment letters that say what the COR can and cannot direct · a letter to the contractor naming who can issue direction · training for everyone who talks to the contractor. *The board wants prevention, not just cleanup — this question is really about whether your program knows who's in charge.*

KNOW COLD

- **Authority types:** express (written) · implied (from position, valid) · apparent (not authority at all — binds nothing).
- **Valid contract elements:** offer & acceptance · consideration · competent parties · legal purpose · certainty of terms.
- **Ratification tests (RFO 1.405, all must pass):** proper-if-CO-had-done-it · Government benefited · ratifier has actual authority · price fair & reasonable · funds available then and now · Legal concurs.
- **Ratifying authority:** over SAT → HCA (delegable); at/under SAT → COCO level.
- **CORs:** no authority over price, terms, or schedule — ever.

COMMON FOLLOW-UPS

> **"What if the Government received no benefit?"**
> Then it can't be ratified — a ratification requires acceptance or benefit. The contractor's remedy shifts to a claim (or quantum meruit through Legal); my job is the documented record either way.

> **"The person who did it refuses to write a statement."**
> Document the refusal, reconstruct the facts from correspondence and witnesses, and proceed — the package needs the story, and the refusal itself goes in the record.

> **"Is implied authority real authority?"**
> Yes — authority reasonably inferred from a position's duties is legally valid. Apparent authority is the trap: looking authorized isn't being authorized.

WATCH-OUTS

- Don't sign a "quick mod" to paper over an unauthorized commitment — that converts their problem into *your* unauthorized act.
- Funds must have been available **at the time of the commitment**, not just now — a fiscal-law tripwire inside a Part 1 question.
- Watch for the follow-up chain into fiscal law (whose money, what year) and into claims (if ratification fails).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

During a staff visit you learn the fuels flight has been getting weekly analytics reports from a small software vendor since January. The squadron commander "approved it on a trial basis" after a vendor demo; the vendor now wants a PO for $95K covering the trial "as agreed." The commander points out he's a colonel with command authority, the unit genuinely uses the reports, and "there's end-of-year money to cover it." He asks you to just issue the purchase order this week.

DEBRIEF — WHY IS EACH FACT HERE?

> **"Colonel with command authority"** — **bait**
> Rank and command authority are not contracting authority. Only a warranted CO binds the Government — this is apparent authority, which binds nothing.

> **The unit genuinely uses the reports** — **governs**
> Government benefit is real — that's one ratification element satisfied, and it's why ratification (not refusal) is the likely path.

> **"End-of-year money can cover it"** — **bait**
> The test is funds available **when the commitment was made** (January) *and* now — and the right color/year of money for what was actually received. "There's money lying around" isn't the test.

> **"Just issue the PO this week"** — **bait**
> A PO now would paper over the violation. The path is a ratification package at the right level ($95K ≤ SAT → COCO), with the commander's signed statement in it.

Board-ready answer, one breath: "That's an unauthorized commitment — command authority isn't contracting authority. I'd stop further performance, investigate, and build the RFO 1.405 ratification package: benefit's there, so it turns on fund availability in January and a fair-and-reasonable price; at $95K my COCO can ratify. And then I'd train that unit, because prevention is the real fix."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Three types of authority — which one binds nothing?
2. All six ratification elements.
3. Who ratifies a $500K unauthorized commitment? A $90K one?
4. Five elements of a valid contract.

Answers: 1) Express, implied, apparent — apparent binds nothing. 2) Proper-if-CO · benefit · ratifier's actual authority · fair & reasonable price · funds then and now · Legal. 3) $500K → HCA (delegable); $90K → COCO. 4) Offer/acceptance · consideration · competency · legality · certainty of terms.

TOPIC · RFO PART 3

Procurement Integrity

Governed by RFO 3.104 — protecting source selection information and contractor bid/proposal data.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- Source selection information or a competitor's proposal **sent to the wrong person**.
- A contractor **asking around** for evaluation details mid-competition.
- Industry **hiring a Government employee** who touched the program.
- The words *PIA, disclosure, SSI, someone saw the ratings.*

THE SCENARIO

Mid-source-selection, an evaluator fat-fingers an email: the draft SSEB ratings go to a support contractor employee outside the selection team. She replies "I don't think I should have this." Your job: contain the disclosure, determine whether the procurement is compromised, and keep the competition defensible.

ANCHOR & WHO YOU CALL This is **RFO 3.104**. I'd call **Legal immediately** — the PCO owns this process from discovery to determination, and the clock is running.

Walk the situation

1. **Recognize what's protected and start the clock.** Source selection information and contractor bid/proposal data are protected — disclosure to anyone unauthorized is a potential PIA violation. As the PCO I'm the conduit for this information and I own the response, *working the process promptly — as a planning figure, about 20 business days to run it to a determination.*

2. **Contain it.** Notify Legal · identify exactly what went where · direct the recipient to delete all copies and confirm · get signed affidavits/NDAs on the deletion · get an MFR from the person who made the disclosure, *because the file must show the Government moved immediately and completely.*

3. **Determine impact on the procurement.** Write the determination: did this disclosure compromise the source selection? Consider what the recipient could do with it, whether it reached (or could reach) an offeror, and whether competitive positions changed.

4. **Route the determination. No impact:** statement of facts + determination through Legal and the review chain (clearance authority / Competition Advocate) — concurrence lets the procurement proceed. **Impact:** it goes to the **HCA**, who can continue, investigate further, disqualify an offeror, cancel — and beyond the procurement, suspension/debarment and criminal referral are all live possibilities.

5. **Harden the process.** Two-person review before sensitive material moves · encrypt and password-protect (passwords sent separately) · kill email auto-complete during source selection · SSI cover sheets on every document, *because the board's real question is whether your source selection leaks by design or by exception.*

KNOW COLD

- **Protected (RFO 3.104):** source selection information · contractor bid/proposal data.
- **Response spine:** Legal first · facts · recipient deletes + affidavit/NDA · notify affected parties · MFR from discloser · written impact determination.
- **Routing:** no impact → facts + determination through the review chain, proceed on concurrence; impact → HCA decides (proceed / investigate / disqualify / cancel).
- **Other PIA violations:** a contractor *seeking* protected info · improper employment discussions with Government personnel.
- **Consequences:** administrative to criminal — suspension, debarment, prosecution.

COMMON FOLLOW-UPS

> **"The recipient says she deleted it — done?"**
> Not on her word: signed affidavit confirming deletion of all copies, and the determination still has to be written. The record closes it, not the reply email.

> **"What if it went to an actual offeror?"**
> That's the high-impact branch: presumptive taint of the competition. HCA decision territory — disqualification or cancellation are on the table, with Legal driving.

> **"A contractor employee asks your evaluator how the ratings look — violation?"**
> Attempting to obtain source selection information is itself a PIA problem. Document it, report it, brief the team — silence is how small probes become disclosures.

WATCH-OUTS

- Speed matters, but the **written determination** is what protects the procurement — don't skip to "no harm done."
- Don't free-lance the response — Legal is in the loop from the first phone call.
- Prevention is a board favorite: two-person review, encryption, no auto-complete, cover sheets. Have the list ready.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Your SSEB chair calls: a technical evaluator just accepted a job with one of the three offerors — starting next month. The evaluator "hasn't told the team anything," has already recused himself from this week's consensus meetings, and says his new employer "only knows the program exists, nothing else." The PM wants to press on: "he recused himself, we're good — we can't slip the award for HR paperwork."

DEBRIEF — WHY IS EACH FACT HERE?

> **Evaluator accepting employment with an offeror** — governs
> Employment contacts between an offeror and a Government official with access to protected information are the PIA's second front. Self-recusal isn't self-clearing — this goes to Legal now, with a facts review of everything he touched and when the employment contact began.

"Hasn't told the team anything" — **bait**
His assurance isn't the standard. The question is what he had access to while employment discussions were live — that's established by record review, not by promise.

"He recused himself" — **bait, partially**
Recusal was right — but timing governs. Recusal after discussions began doesn't cure access that already happened.

"Can't slip the award" — **bait**
Schedule pressure never outranks integrity of the selection. An award made on a tainted record invites protest and worse.

Board-ready answer, one breath: "Recusal was step one, not the answer. I'd get Legal in immediately, establish when the employment contact started and what protected information he accessed after that, document it, and make the written determination whether the selection is compromised — and if it reached the offeror, that's the HCA's decision on how the procurement proceeds."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Two categories of protected information under RFO 3.104.
2. Your first two containment actions on a bad disclosure.
3. Where does the decision go if the disclosure impacts the procurement?
4. Name three prevention practices you'd brief a new source selection team.

Answers: 1) Source selection information; contractor bid/proposal data. 2) Legal immediately; identify/contain — recipient deletes with signed confirmation. 3) The HCA. 4) Two-person review before release · encryption with separate passwords · disable auto-complete · SSI cover sheets (any three).

TOPIC · RFO PART 9

Organizational Conflict of Interest

Governed by RFO 9.5 — identifying, avoiding, neutralizing, or mitigating OCIs before they taint an award.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A support contractor **helping write requirements** it may later compete for.
- Contractor personnel **embedded in the program office** with access to other companies' data.
- A contractor positioned to **evaluate or grade its own work** (or its competitor's).
- The words *unfair advantage, they wrote the SOW, impaired objectivity.*

THE SCENARIO

Your A&AS support contractor helped the program office draft the performance work statement for an upcoming services competition — and now its parent company wants to bid. The PM sees no problem: "they know the requirement better than anyone." Your job: name the conflict, decide whether it can be fixed, and protect the competition.

ANCHOR & WHO YOU CALL This is **RFO 9.5**. I'd loop in **Legal** early — and treat perceived conflicts with the same weight as actual ones, because protests don't distinguish.

Walk the situation

1. **Classify the conflict — there are three shapes. Biased ground rules**: the contractor helped set the terms of a competition it wants to enter (this scenario — and the hardest to mitigate). **Unequal access**: non-public information gives it a competitive edge — no bad intent required, the imbalance is the problem. **Impaired objectivity**: its judgment on one contract benefits its interests on another (evaluating itself is the classic), *and naming the right type matters because the fix differs by type.*

2. **Reach for the three tools, in order of preference. Avoid** (structure it out — exclude the source or carve the conflicted work) · **Neutralize** (remove the contractor from the specific conflicted activity) · **Mitigate** (reduce to acceptable through a formal, enforceable mitigation plan — firewalls, staffing separation, data controls).

3. **Work the mitigation plan process — and know who decides.** The contractor proposes the plan; I review it, Legal reviews it, the review panel advises — but **the PCO makes the final call**. Say that plainly at the board, *because OCI is one of the clearest "the buck stops with you" topics on the warrant.* Per RFO 9.5, significant potential conflicts get a recommended course of action to the chain before the solicitation goes out.

4. **If it can't be mitigated, exclude — or waive with eyes open.** An unmitigable conflict means the contractor doesn't perform the conflicted work. A **waiver** exists for the rare case where the Government's benefit outweighs the conflict — it goes to the **HCA** and is not delegable.

5. **Paper the file before solicitation, not after protest.** The OCI analysis, the plan, and my decision all predate the RFP on the street, *because an OCI surfaced by a protester after award is a competition you may get to run twice.*

KNOW COLD

- **Three types:** biased ground rules (hardest to fix) · unequal access to non-public info · impaired objectivity (most commonly waived).
- **Three tools:** avoid · neutralize · mitigate (formal plan).
- **Decision authority:** the PCO decides on the mitigation plan; **waiver = HCA, non-delegable**.
- **Perceived = actual** for how seriously you treat it.
- **Timing:** identify and resolve before solicitation; OCI exchanges during source selection are not "discussions."

COMMON FOLLOW-UPS

"Which type is hardest to mitigate and why?"
Biased ground rules — once the requirement itself is shaped, a firewall can't un-shape it. Exclusion is the usual outcome.

"The contractor firewall says the proposal team never saw anything. Enough?"
A firewall can address unequal access going forward — it does nothing for ground rules already written. Type drives remedy.

"Who has final say on the mitigation plan?"
The PCO. Panels and reviewers advise; the decision and the accountability are mine.

WATCH-OUTS

- "They know the requirement best" is precisely the problem, not the defense.
- Unequal access needs **no bias and no bad act** — information imbalance alone is disqualifying if unmitigated.
- Start with white papers before demanding a full plan — assess feasibility cheap, then formalize.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Source selection for a logistics IT modernization is two weeks from FPRs. An offeror's capture manager, at an industry event, mentions to your COCO that a rival offeror "has our staffing rates — their teaming partner processes our subcontract invoices." The rival's proposal did come in with suspiciously well-aimed pricing. The SSEB chair suggests quietly normalizing the evaluated rates "so no one's advantaged," and notes that pausing now "looks bad for the program."

DEBRIEF — WHY IS EACH FACT HERE?

Teaming partner processes the competitor's invoices — governs
Classic **unequal access to non-public information** — a structural pipeline to a competitor's cost data. No intent needed; the imbalance is the conflict.

"Quietly normalize the rates" — bait
Evaluators can't launder an OCI through the evaluation. The conflict is investigated and resolved on the record, not adjusted away.

"Pausing looks bad" — **bait**
An award over an unresolved, documented OCI allegation looks worse — that's a sustained protest with the remedy chosen by someone else.

Well-aimed pricing — **bait, partially**
Suggestive but not proof. It justifies the inquiry; the determination rests on what access actually existed.

Board-ready answer, one breath: "That allegation is unequal access — I'd get Legal in, establish the facts of what data actually flowed, and make a written determination. If access is real, I need avoidance, neutralization, or an enforceable mitigation before this selection proceeds — and note that handling an OCI during source selection isn't 'discussions,' so I can work it without opening exchanges."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The three OCI types — and which is hardest to mitigate?
2. The three handling tools, in order of preference.
3. Who approves an OCI waiver, and is it delegable?
4. True or false: unequal access requires showing the contractor acted on the information.

Answers: 1) Biased ground rules (hardest) · unequal access · impaired objectivity. 2) Avoid · neutralize · mitigate. 3) HCA; non-delegable. 4) False — the access imbalance itself is the conflict.

TOPIC · RFO PART 9

Contractor Qualifications — Responsibility

Governed by RFO 9.104 — the affirmative determination every award requires, and the SBA's Certificate of Competency.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- An apparent awardee with **shaky finances, a thin record, or integrity questions**.
- Someone asking "can they actually **do** this?" right before award.
- A **small business you're about to find non-responsible**.
- The words *responsibility determination, FAPIIS, exclusions, CoC.*

THE SCENARIO

Your lowest-priced technically acceptable offeror on a $1.2M vehicle-maintenance contract is a small business you've never seen before. Their references are thin, and a quick look raises questions about whether they can float payroll to the first invoice. Award is expected this week. Your job: make the responsibility call the right way — and know what changes because they're small.

ANCHOR & WHO YOU CALL This is **RFO 9.104**. I'd work with my **small business specialist** and **Legal**, because a small-business non-responsibility finding routes through the **SBA**.

Walk the situation

1. **Own the standard: award requires an affirmative determination.** No determination, no award — and doubt is resolved *against* the contractor, *because if they fail, the record will ask what I checked and when.*

2. **Run the seven standards (RFO 9.104-1).** Adequate **financial resources** or the ability to get them · ability to meet the **schedule** · satisfactory **performance record** · satisfactory **integrity and ethics** · necessary **organization, experience, and controls** · necessary **equipment and facilities** · otherwise **qualified and eligible**.

3. **Check the systems.** **SAM exclusions** (always) and **FAPIIS**/performance-integrity records for actions over the SAT — plus CPARS history, financial checks, or a pre-award survey where the dollars and doubt warrant it.

4. **If it's a small business heading toward "no" — stop. SBA owns the next move.** A non-responsibility finding on a small business is referred to the **SBA**, which can issue a **Certificate of Competency** that conclusively establishes responsibility, *because Congress gave SBA the last word on whether small firms are capable.*

5. **Document either way.** A clean determination for award; a specific, factual one for a referral — *generalities ("thin references") don't survive review; specifics do.*

KNOW COLD

- **Rule:** affirmative responsibility determination before every award; doubt goes against the offeror.
- **Seven standards (RFO 9.104-1):** money · schedule · performance record · integrity · organization/skills · equipment/facilities · qualified & eligible.
- **Checks:** SAM exclusions always; FAPIIS review over SAT ($350K).
- **Small business + non-responsible → SBA referral;** a CoC binds the CO.
- **Responsibility ≠ evaluation:** it's a pass/fail pre-award gate, not a source selection factor.

COMMON FOLLOW-UPS

> **"SBA issues the CoC but you still think they'll fail. Now what?"**
> A CoC is conclusive as to responsibility — I award, then protect the Government with administration: a solid QASP, milestone surveillance, and early engagement at the first sign of trouble. (Appeal paths exist in a dollar band — worked with Legal and SBA, not solo.)

> **"Can you use responsibility to screen out a contractor you distrust?"**
> Only on the standards, only on facts. Distrust without documentation is how a defensible "no" becomes a sustained protest.

> **"What's the difference between non-responsible and ineligible?"**
> Ineligible = excluded (SAM/debarment) — no award, period. Non-responsible = fails the standards for *this* award, on today's facts.

WATCH-OUTS

- Skipping the SBA referral on a small business is a classic board trap — the finding isn't yours to finalize.
- "They won on price, so we have to award" — not until responsibility is affirmatively determined.
- Watch the chain into performance topics: weak-but-responsible awardees are managed through administration, not wished away.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Award week on a grounds-maintenance IDIQ set-aside. Your apparent awardee — a small business — was terminated for default by another base fourteen months ago; their proposal explains new ownership and a rebuilt crew. The PM forwards a rumor from the old contract's COR that "these guys always bail mid-summer." Your specialist notes they're clean in SAM. The customer wants award Friday because the mowing season "won't wait for paperwork."

DEBRIEF — WHY IS EACH FACT HERE?

> **Prior T4D fourteen months ago** — governs
> A recent default squarely engages the performance-record standard. It's not automatically disqualifying — but it must be weighed on the record against the new-ownership facts.

"New ownership, rebuilt crew" — **governs**
Exactly the kind of countervailing fact the determination exists to evaluate. Verify it — org charts, key personnel, financing — don't just quote the proposal.

The COR's rumor — **bait**
Hearsay isn't a finding. Chase it to documented performance history (CPARS, the T4D record) or drop it.

Clean in SAM — **bait, partially**
Necessary, not sufficient — exclusions and responsibility are different gates.

Small business + Friday pressure — **governs the path**
If the facts add to non-responsible, the SBA referral happens regardless of the mowing season — and the CoC may still direct award.

Board-ready answer, one breath: "I'd make the determination on documented facts — the default record versus verified evidence of new ownership and capacity. Clean SAM isn't the test, and rumors don't count. If I land on non-responsible, they're small, so it goes to SBA for the CoC decision — and Friday moves if it has to."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Recite the seven responsibility standards.
2. Which two system checks precede award, and at what threshold does the second apply?
3. What happens when a small business is found non-responsible?
4. Doubt about capability cuts in whose favor?

Answers: 1) Finances · schedule · performance · integrity · organization/experience/controls · equipment/facilities · qualified & eligible. 2) SAM exclusions always; FAPIIS over SAT ($350K). 3) Referral to SBA — a CoC conclusively establishes responsibility. 4) The Government's — doubt means no.

TOPIC · RFO PART 10

Market Research

Governed by RFO Part 10 (10.001) — the evidence base under nearly every acquisition decision you'll defend.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A brand-new requirement and a team asking **"where do we even start?"**
- A sole-source, set-aside, or commercial call that needs **proof behind it**.
- A requirement written around **one vendor's brochure**.
- The words *sources sought, RFI, industry day, is anyone else out there?*

THE SCENARIO

The program drops a new $12M requirement on you for ruggedized flight-line diagnostic kits and asks for an acquisition strategy meeting in two weeks. Nobody knows the vendor landscape. Your job: build the market picture that every downstream decision — commerciality, set-aside, competition, contract type — will stand on.

ANCHOR & WHO YOU CALL This is **RFO Part 10**. I'd work it with the **requirements owner** and my **small business specialist** — market research is a team sport with the PCO holding the pen.

Walk the situation

1. **Frame what the research must answer.** Who can perform? Is this **commercial** or commercial-adaptable? Can **small business** do it — is a set-aside supported? What do **industry practices** look like — how does the market sell this? *Every one of those answers becomes a decision I must later defend with this research.*

2. **Match the methods to the money and risk.** Sources-sought notices and RFIs on SAM.gov · industry days · direct SME and vendor engagement · prior-buy history · catalogs and published pricing. A $12M developmental-flavored buy earns real engagement, not a two-hour web search, *because the depth of research should scale with the size of the decision riding on it.*

3. **Mind the tripwires.** Research is treated as current within **18 months**; larger non-commercial buys require documented research (RFO 10.001); coordinate with the small business office early — including the advance notice they need before solicitation.

4. **Write the market research report.** What was asked, of whom, what came back, and what it means for: commerciality, set-aside potential, competition expectations, and requirement definition. *Unwritten research doesn't exist — the report is what the J&A, the D&F, and the set-aside decision will all cite.*

5. **Feed it forward — and keep it alive.** Research isn't one-and-done: refresh at strategy changes, before options, before follow-ons, *because stale research is the root cause behind half the weak sole-source justifications a board will probe.*

KNOW COLD

- **What it answers:** capable sources · commerciality · small business capability · industry practice · requirement shape (and whether bundling is justified).
- **Methods:** sources sought / RFI · industry day · SME + vendor engagement · prior procurement history · catalogs/published prices.
- **Currency:** treated as current within **18 months**; refresh at key decision points.
- **Documentation:** market research report — the citation base for J&As, set-asides, and CIDs.
- **Scale the depth to the decision** — a $12M strategy deserves more than a browser session.

COMMON FOLLOW-UPS

> **"Your sources-sought got one response. Sole source it?"**
> One response to one notice isn't market absence — it's a data point. Widen the net (direct outreach, industry channels, adjacent NAICS) before concluding only one source exists; the J&A will be judged on the effort.

> **"How is market research different from a competition requirement?"**
> Research is the evidence; competition is the decision. Research tells me whether the Rule of Two is met, whether full-and-open is realistic, whether commercial procedures fit — it doesn't replace any of them.

> **"The PM wrote the spec around Vendor X's product. Fix it with research?"**
> Backwards — research should shape the requirement, not justify it after the fact. I'd push for a performance-based restatement and use the research to show what the market can actually deliver.

WATCH-OUTS

- Research that starts after the strategy is picked is a justification, not research — boards smell it.
- Document negative results too — "we looked for small business capability and found none" must be shown, not asserted.
- This topic chains into everything: expect the follow-up to jump to commerciality, set-asides, or the J&A.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A depot needs specialized corrosion-inspection services, estimated $4.5M over three years. The incumbent's contract ends in five months. The PM hands you last cycle's market research — dated 26 months ago — showing "only the incumbent responded," plus an email from the incumbent's BD lead helpfully listing why competitors "can't meet the certification requirements." Your specialist mentions two small firms recently won similar work at another command.

DEBRIEF — WHY IS EACH FACT HERE?

> **26-month-old research** — governs
> Past the 18-month currency line — it can inform, but it can't carry a new strategy. Fresh research is step one.

> **Incumbent's list of why competitors can't perform** — bait
> Market intelligence authored by the party that benefits from no competition is not market research. Verify independently or discard.

Two small firms winning similar work elsewhere — governs
Live evidence of capability — chase it: scope comparability, certifications, capacity. It bears directly on the Rule of Two.

Five months to expiration — bait
Tight but workable — and "no time to research" is how bad bridges get born. The timeline argues for starting now, not skipping it.

Board-ready answer, one breath: "That research is stale and the most persuasive document in the file was written by the incumbent — I'd run a fresh sources-sought now, engage the two small firms directly, and let the results drive the set-aside and competition decisions. Five months is enough if we start today; if it slips, a short bridge with a real cause beats a sole source built on a competitor's brochure."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Four questions market research must answer.
2. How long is research treated as current?
3. Name five research methods.
4. What document downstream decisions cite — and what happens if it was never written?

Answers: 1) Capable sources · commercial or not · small business capability · industry practices (also: bundling justified?). 2) 18 months. 3) Sources sought · RFI · industry day · SME/vendor engagement · prior-buy history · catalogs (any five). 4) The market research report; undocumented research can't support the J&A/set-aside/CID that relies on it.

TOPIC · RFO PART 8

Required Sources of Supplies & Services

Governed by RFO Part 8 (8.101–8.103, FSS at 8.4) — the priority list you check before the open market.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A commodity buy heading **straight to the open market**.
- Mention of **GSA schedules, AbilityOne, UNICOR, excess property**.
- An order against a **Federal Supply Schedule** and a pricing question.
- The words *mandatory source, can't we just buy it commercially?*

THE SCENARIO

The base needs a large buy of office furnishings and custodial supplies, and a unit customer has a favorite commercial vendor picked out. Your job: walk the mandatory-source ladder before the open market, and document why any rung doesn't fit.

ANCHOR & WHO YOU CALL This is **RFO Part 8**. GSA tools (Advantage, eBuy) do much of the legwork; my job is the priority order and the file.

Walk the situation

1. **Run the supplies ladder in order (RFO 8.103).** Existing **agency inventory** → **excess** from other agencies → **Federal Prison Industries (UNICOR)** → **AbilityOne** → wholesale supply sources → **mandatory Federal Supply Schedules** → then commercial sources, *because skipping a mandatory rung without documentation is legal exposure, not efficiency.*

2. **Know the services ladder too (RFO 8.102).** **AbilityOne** leads for covered services, then schedules, then the market.

3. **On the schedules, don't outsource your pricing judgment.** GSA establishes schedule-level prices as fair and reasonable — but for **my order**, I still make the determination: compare among schedule holders, seek discounts, *because schedule ceiling prices are a starting point, not a conclusion.*

4. **Document the walk.** Which sources were checked, which couldn't satisfy the need and why, and where the buy landed — *the file shows a ladder descended, not a rung grabbed.*

KNOW COLD

- **Supplies priority (RFO 8.103):** inventory → excess → UNICOR → AbilityOne → wholesale → mandatory FSS → commercial.
- **Services (RFO 8.102):** AbilityOne first for covered services.
- **FSS (RFO 8.4):** GSA prices the schedule; the ordering CO still determines the *order's* price fair and reasonable.
- **Tools:** GSA Advantage (search/order) · eBuy (electronic RFQ).

COMMON FOLLOW-UPS

> **"The AbilityOne item is pricier than the commercial one. Buy commercial?"**
> Mandatory means mandatory — if the item is on the procurement list and meets the need, price alone doesn't unlock the open market. Work fit/availability issues through the program, on the record.

> **"Why isn't a schedule buy automatically fair and reasonable?"**
> Because GSA negotiated a ceiling across the government, not my quantity, configuration, or competitive moment. Comparing quotes among holders and asking for discounts is the ordering CO's job.

WATCH-OUTS

- "The customer has a vendor picked" is where required-sources violations start.
- This topic loves to chain into fair opportunity (if the vehicle is multiple-award) and SAP (small buys).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A squadron wants 400 task chairs "identical to the ones facilities bought last year from a local dealer — we already have a quote." Your inventory manager mentions a warehouse annex holding surplus furniture from a recently consolidated unit. The dealer's quote is 8% below the GSA schedule price for a comparable chair, and the squadron notes AbilityOne "only makes the fabric panels, not the chairs."

DEBRIEF — WHY IS EACH FACT HERE?

> **Surplus furniture in the annex** — **governs**
> Agency inventory and excess sit at the top of the ladder — before anyone's quote matters, that annex gets checked and the result documented.

> **Dealer quote 8% under schedule** — **bait**
> Attractive, but the ladder isn't priced-ordered — it's priority-ordered. The quote matters only when the buy legitimately reaches the commercial rung (and then it's useful pricing evidence).

> **AbilityOne makes panels, not chairs** — **governs, narrowly**
> Fine — check the procurement list for what's actually covered and document the non-fit. That's the rung working as designed.

Board-ready answer, one breath: "Ladder first: inventory and that annex, then UNICOR and AbilityOne against the procurement list, then schedules — and only then the dealer, whose quote becomes price-comparison data, not a shortcut. The file shows each rung and why we moved past it."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The supplies priority order, top to bottom.
2. What leads the services ladder?
3. On an FSS order, who determines the order price fair and reasonable?

Answers: 1) Inventory → excess → UNICOR → AbilityOne → wholesale → mandatory FSS → commercial. 2) AbilityOne. 3) The ordering contracting officer — GSA's schedule pricing doesn't substitute.

TOPIC · RFO PART 12

Commercial Products & Services

Governed by RFO Part 12 — the commercial preference, the determination, and what Part 12 buys you (and costs you).

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- An item **sold in the marketplace** — or a modified version of one.
- A fight over whether something is **"really commercial."**
- A subcontractor asserting **commerciality to withhold cost data**.
- The words *CID, of a type, minor modification, catalog price.*

THE SCENARIO

The program wants a fleet of heavy-lift drones — a commercial airframe with a militarized datalink and mounting rails. The vendor calls the whole package commercial; your price analyst isn't so sure. Your job: make the commerciality call properly, and know what changes when you buy under Part 12.

ANCHOR & WHO YOU CALL This is **RFO Part 12**. I'd work the determination with my **pricing team** and **Legal**, anchored in the market research.

Walk the situation

1. **Apply the definition honestly.** Commercial: sold, leased, or licensed to the general public — or evolved from such an item and available in time — including items with **minor modifications** that don't alter form, fit, or function. Services qualify when sold competitively at catalog/market prices or when they support a commercial product, *and the militarized datalink is exactly where "minor modification" gets tested.*

2. **Write the determination.** Over the SAT, a written **commercial product/service determination** with the comparison analysis — what's sold in the market, how this differs, why it still qualifies (or doesn't) — approved a level above me. Relying on a prior determination? Address whether the market moved since, *because the CID is the document a DCAA finding or protest will pull first.*

3. **Know what Part 12 buys you.** Streamlined terms · **no certified cost or pricing data** (the C in CLAWM) · FFP-family preference · acceptance based on the market's own quality practices · and for actions at or under **$9M** where only commercial offers are expected, the **streamlined procedures of RFO 12.201-1**.

4. **Know what it costs you.** Data and software rights only as customary in the marketplace · commercial termination framework (not Part 49) · pricing leverage shifts to market evidence, *so I price with catalogs, sales history, and competition — and if I can't see market sales, that's a red flag for the determination itself.*

KNOW COLD

- **Definition spine:** sold to the general public · or evolved & available in time · minor mods that don't change form/fit/function still qualify.
- **CID:** written, over SAT ($350K), approved one level above the CO, comparison analysis included.
- **Part 12 gets:** no certified data · streamlined terms · FFP preference · **RFO 12.201-1** streamlined procedures at/under **$9M**.
- **Part 12 gives up:** only customary market data rights · Part 49 doesn't apply (commercial termination per the commercial clause).
- **Below MPT ($15K):** Part 12 isn't the framework — that's micro-purchase territory.

COMMON FOLLOW-UPS

"How do you price it fair and reasonable without cost data?"
Market evidence: competition first, then catalog/published prices, sales history to other customers, parametric comparisons — and I can require data other than certified where the market evidence is thin.

"The mod adds an encrypted military datalink. Still minor?"
Test it against form, fit, and function of the base item — a modification that changes what the item fundamentally is or does takes you out of "minor." That's a facts-and-engineering call, documented in the CID.

"Termination for cause vs. T4D?"
Commercial contracts use the commercial clause's cause/convenience framework — Part 49's default machinery (cure notices per 49.x, excess reprocurement) doesn't apply as such. Chain warning: boards love this seam.

WATCH-OUTS

- "The vendor says it's commercial" is an assertion — the **Government** makes the determination.
- Commerciality at the subcontract level doesn't erase the prime's obligations — you still need enough data to find the sub's price fair and reasonable.
- A CID written to dodge cost data (rather than reflect the market) is exactly what oversight looks for.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A prime's $22M avionics upgrade proposal includes an $8M subsystem the prime bought "commercially" from its own subsidiary. Support: a one-page assertion citing "regular commercial sales," a catalog page with no prices, and a note that "per Part 12, no cost data is required." The subsidiary has sold the subsystem to exactly two customers — both foreign militaries — and your engineer says the Government's configuration adds a hardened chassis and MIL-STD wiring.

DEBRIEF — WHY IS EACH FACT HERE?

Two customers, both foreign militaries — governs
"Sold to the general public" is the definition's spine — military-only sales history undercuts the assertion at its root. This is the fact to chase first.

Hardened chassis + MIL-STD wiring — governs
Modifications get tested against form/fit/function. Militarization of this scale strains "minor."

Catalog page with no prices — bait
A catalog proves a brochure exists. Commerciality pricing runs on actual sales at market prices — demand the sales data.

Prime bought from its own subsidiary — governs
An affiliated "commercial sale" deserves double scrutiny — the arms-length pricing discipline isn't there.

"Per Part 12, no cost data required" — bait
Backwards — the exception applies only *after* the determination holds. Assertion isn't determination.

Board-ready answer, one breath: "The Government makes the commerciality call, not the proposal. On these facts — military-only sales, an affiliated seller, and militarizing mods — I'd likely find it non-commercial; and even if some element qualifies, I still require data sufficient to price it, certified or otherwise. The one-page assertion gets returned with a data demand attached."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The commercial definition in one sentence, including the mod rule.
2. CID: at what threshold is it written, and who approves it?
3. Streamlined commercial procedures — cite and ceiling?
4. Name two things Part 12 gives you and two things it takes away.

Answers: 1) Sold/leased/licensed to the general public (or evolved and available in time), including minor mods that don't alter form, fit, or function. 2) Over SAT ($350K); one level above the CO. 3) RFO 12.201-1; $9M. 4) Gets: no certified data, streamlined terms/FFP preference. Takes: only customary market data rights; Part 49 termination machinery.

TOPIC · RFO PART 13

Simplified Acquisition Procedures

Governed by RFO Part 13 — fast, documented-enough buying below the SAT (and commercial buys under RFO 12.201-1).

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A buy **under $350K** — or way under.
- A **GPC card, purchase order, or BPA** in the fact pattern.
- Recurring small buys from the same vendors.
- The words *micro-purchase, three quotes, quick buy.*

THE SCENARIO

The maintenance group needs a $210K tool-crib restock, a unit wants a $9K label printer, and the med group keeps buying the same lab reagents monthly. Your job: put each buy in the right SAP lane with the right amount of process — no more, no less.

ANCHOR & WHO YOU CALL This is **RFO Part 13**. The **small business specialist** is the key teammate — the under-SAT space is small business's home field.

Walk the situation

1. **Sort by dollars into the three lanes. Micro-purchase (≤$15K)**: GPC — no competition documentation required, price considered reasonable with basic checks. **$15K–$350K**: purchase orders — a Government order the vendor accepts by writing or performance. **Repetitive needs**: a **BPA** — charge-account terms with established sources so each monthly buy isn't a new procurement.
2. **Respect the small business reservation.** Between the MPT and the SAT, buys are **reserved for small business** unless capable small sources can't be found, *because SAP is where the small business industrial base actually lives.*
3. **Scale the competition to the buy.** Solicit enough quotes to call the price reasonable — the working rhythm: around three quotes in the band, synopsize larger actions, and price-alone awards are fine when that's the discriminator. Sole source under the SAT: document why only one source, *a paragraph of reasoning, not a J&A — that's the point of simplified.*
4. **Don't let "simplified" become "unbounded."** No splitting requirements to duck thresholds · commercial items up to **$9M** ride RFO 12.201-1 streamlined (not Part 13 proper) · document enough that a reviewer can reconstruct the buy.

KNOW COLD

- **Lanes:** GPC ≤ **$15K** · purchase orders **$15K–$350K** · BPAs for repetitive buys.
- **Reservation:** MPT-to-SAT reserved for small business (absent capable small sources).
- **Sole source under SAT:** document single-source reasoning — no formal J&A.
- **Commercial ≤ $9M:** streamlined procedures per RFO 12.201-1.
- **Never split** a requirement to stay under a threshold.

COMMON FOLLOW-UPS

> **"Why not spread the tool-crib buy across three GPC swipes?"**
> That's splitting a known requirement to evade the MPT — a bright-line violation. One $210K requirement is one purchase-order action with small business first.

> **"BPA vs. IDIQ — when does the small path stop fitting?"**
> A BPA is an account, not a contract — no obligation until a call. When needs get big, defined, and multi-year, the structure (and the money) belongs in a real vehicle.

> **"One quote came back on your $80K buy — award?"**
> I can, if I can call the price fair and reasonable — compare to history, catalogs, IGCE, and document it. Reasonableness rides on evidence, not on the count of quotes.

WATCH-OUTS

- The GPC is a payment method with a threshold, not an authority to shop — misuse chains straight into the unauthorized-commitment topic.
- SAP's flexibility is procedural — fiscal law, ethics, and required sources all still apply at full strength.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Friday, end of September. The CE squadron brings you four "urgent" buys: $14,800 of hand tools (GPC-ready, they say), another $14,600 of the same catalog's power tools, a $95K generator "only Vendor Z sells with the right output curve," and a request to "set up something so we stop doing paperwork every month" for HVAC filters. The GPC holder mentions the two tool buys "are from the same order the shop chief wrote up — we just split it to keep it simple."

DEBRIEF — WHY IS EACH FACT HERE?

> **"Split it to keep it simple"** — governs
> Same requirement, same catalog, same write-up: that's a ~$29K buy split to stay under the $15K MPT — the textbook violation. Recombine it into a purchase order, small business first.

> **$95K "only Vendor Z" generator** — governs
> Under-SAT sole source: document the single-source rationale (the output-curve requirement) and the price reasonableness — no J&A, but the reasoning goes on paper.

Monthly HVAC filters — governs
Repetitive, predictable, small: a BPA with established sources is the designed answer.

End-of-September urgency — bait
Fiscal-year pressure doesn't change any lane's rules — it's why the lanes exist. Fast is fine; splitting isn't.

Board-ready answer, one breath: "The tool buys are one requirement — recombining them puts it in the purchase-order lane, reserved for small business. The generator is a documented under-SAT sole source. The filters become a BPA. And September doesn't amend Part 13."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The three SAP lanes and their dollar boundaries.
2. Who is the MPT-to-SAT band reserved for?
3. What documentation does an under-SAT sole source need?
4. Commercial streamlined ceiling and cite?

Answers: 1) GPC ≤$15K · POs $15K–$350K · BPAs for repetitive needs. 2) Small business, unless capable small sources can't be found. 3) A documented single-source rationale + price reasonableness — no formal J&A. 4) $9M · RFO 12.201-1.

TOPIC · RFO PART 19

Small Business Programs

Governed by RFO Part 19 — the Rule of Two (19.104-1), the socioeconomic programs, and the decisions a protest will re-run.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **set-aside decision** — make it, skip it, or defend it.
- An **8(a), HUBZone, SDVOSB, or WOSB** angle (or a sole-source inside one).
- A **NAICS code** fight or a size question.
- The words *Rule of Two, DD 2579, subcontracting plan.*

THE SCENARIO

A $2.4M grounds and pavement maintenance requirement lands on your desk. Market research shows four interested firms: two small, one SDVOSB, one large incumbent. The customer "just wants the incumbent back." Your job: run the small business decision tree the way the record will be judged.

ANCHOR & WHO YOU CALL This is **RFO Part 19**. The **small business specialist** is in the loop from the start — coordination is documented on the **DD Form 2579**.

Walk the situation

1. **Assign the NAICS code — it drives everything.** The code describes the principal purpose of *this* procurement and sets the size standard that decides who counts as small, *and a wrong code is appealable and can re-shape the entire competitive field.*

2. **Apply the Rule of Two (RFO 19.104-1).** Reasonable expectation of **two or more capable small businesses** offering at **fair market prices** → set it aside. Between the MPT and SAT it's the default posture; above the SAT it applies when the research supports it. Here: two small firms plus an SDVOSB → the expectation is met, *and "the customer prefers the incumbent" appears nowhere in the test.*

3. **Consider the socioeconomic programs before the plain set-aside.** **8(a)** (19.108): SBA-managed; DoD sole source up to **$100M** without a J&A (civilian $30M); once a requirement enters 8(a) it stays unless SBA releases it. **HUBZone** (19.105) · **SDVOSB** (19.106) · **WOSB/EDWOSB** (19.107): each with set-aside authority and sole-source ceilings — **$8.5M manufacturing / $5.5M other** (SDVOSB other: **$5M**).

4. **Paper the coordination.** DD 2579 through the specialist · the set-aside (or non-set-aside) rationale in the file tied to the market research, *because the un-set-aside requirement with two capable small firms in the research is the protest you lose.*

5. **If the award goes large, get the subcontracting plan.** Required at **$900K** ($2M construction) when the prime isn't small — with goals the contractor is actually held to.

KNOW COLD

- **Rule of Two (RFO 19.104-1):** 2+ capable small businesses at fair market prices → set aside.
- **Programs & cites:** set-asides 19.104 · HUBZone 19.105 · SDVOSB 19.106 · WOSB 19.107 · 8(a) 19.108.
- **Sole-source ceilings:** 8.5M mfg / 5.5M other (SDVOSB other 5M) · 8(a): DoD $100M / civilian $30M, no J&A.
- **Subcontracting plan:** $900K ($2M construction), non-small primes.
- **NAICS sets the size standard;** the specialist coordination rides the DD 2579.

COMMON FOLLOW-UPS

"Only one small business responds to your set-aside — now what?"
If the offer is fair-market priced, award — the Rule of Two tests the *expectation*, not the final count. Document what changed between research and offers.

"The requirement's been in the 8(a) program — can you compete it full-and-open now?"
Not unilaterally: once in 8(a), it stays unless SBA agrees to release it. That's the follow-on trap on 8(a) requirements.

"When does 8(a) sole source need a J&A?"
DoD: not below $100M. The program's statutory basis covers it — that's the 'authorized by statute' lane.

WATCH-OUTS

- Customer preference for an incumbent is not a market fact — the research is.
- Verify program eligibility at award time, not proposal time — program status moves.
- Chains hard into SAP (the reserved band) and IDIQ fair opportunity (set-asides at the order level).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A $4.7M base supply-chain analytics requirement is ready to solicit. Your predecessor's file shows it was once an 8(a) award "years ago," then competed full-and-open last cycle after "SBA released it" (no release letter in the file). Research finds one very capable WOSB and one small firm whose capability statement is generic. The PM suggests a WOSB sole source "since she's clearly the best," and notes the incumbent large business "will protest anything we do anyway."

DEBRIEF — WHY IS EACH FACT HERE?

Missing SBA release letter — governs
If the requirement was never properly released from 8(a), its current posture is built on sand — confirm with SBA before any strategy is chosen. The paper matters.

One strong WOSB + one generic small firm — governs
The Rule of Two needs a reasonable expectation of two *capable* offerors — a generic capability statement gets probed, not presumed. The set-aside call turns on this.

> **"WOSB sole source, she's clearly the best"** — **bait**
> WOSB sole source has conditions and a ceiling — "best" isn't the test, and at $4.7M it must actually fit the program's sole-source lane ($5.5M other) *and* its conditions.

> **"They'll protest anything"** — **bait**
> Protest fear is not a strategy input — a defensible record is the protest strategy.

Board-ready answer, one breath: "First I'd confirm the 8(a) release with SBA — that decides whose requirement this even is. Then the Rule of Two on real capability evidence: if the second small firm doesn't hold up, a WOSB sole source is only available if the program's conditions and ceiling genuinely fit at $4.7M — otherwise compete it and let the record carry the protest."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. State the Rule of Two precisely.
2. Sole-source ceilings: HUBZone other? SDVOSB other? 8(a) DoD?
3. What form documents specialist coordination?
4. Subcontracting plan thresholds?

Answers: 1) Reasonable expectation of two or more capable small businesses submitting offers at fair market prices → set aside. 2) $5.5M · $5M · $100M (no J&A). 3) DD Form 2579. 4) $900K; $2M construction.

TOPIC · RFO PART 6

Competition (CICA)

Governed by RFO Part 6 — full and open competition, the seven exceptions, and the J&A.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A requirement that **points at one contractor** — usually the incumbent or the OEM.
- Someone saying **"we don't have time to compete."**
- A follow-on effort with **no acquisition planning** behind it.
- The words *sole source, J&A, urgency, only one vendor can do this.*

THE SCENARIO

You're the PCO. The program hands you a $40M requirement that points to a single contractor — the incumbent who built the system — and says "we don't have time to compete." Your job: decide whether the Competition in Contracting Act lets you go sole-source, and if so, build the paperwork that survives a protest.

ANCHOR & WHO YOU CALL This is **RFO Part 6**. I'd bring in **Legal** early, and the **Competition Advocate**, since sole-source justifications route through them.

Walk the situation

1. **Start from the default, not the exception.** CICA requires **full and open competition** for actions over the **SAT ($350,000)**. Say that out loud first — the board wants to hear that competition is the rule and sole-source is a burden you have to carry, *because maximum competition is how the Government gets quality at a fair price.*

2. **Check whether CICA even governs this action.** Run the **SAMO** carve-outs: **S**implified acquisition procedures · **A**uthorized by statute · in-scope **M**odifications under the terms of an existing contract · **O**rders under existing IDIQ / requirements / definite-quantity contracts. If one applies, you're not writing a J&A at all — *you only need an exception where full-and-open would otherwise be required.*

3. **If competition truly isn't possible, name the right exception.** The exceptions live at **RFO 6.103**. For a single capable source it's **6.103-1, Only One Responsible Source** — unique capability, where competing would duplicate cost with delay the Government can't recover. Lean hard on **market research** to prove nobody else can perform, *because a thin sole-source justification is your #1 protest risk.* Keep the other six in your pocket: unusual & compelling urgency (6.103-2) · industrial mobilization / R&D capability · international agreement · authorized or required by statute · national security · public interest.

4. **Build the J&A and route it to the right approver.** Content per **RFO 6.104-1** (the ADDS JCP RFI BOT spine below); approval per **RFO 6.104-2**: up to **$900K** the contracting officer's certification is the approval; to **$20M** the Competition Advocate; to **$90M** (DoD: to **$150M**) the Head of the Procuring Activity / PEO; above that the Senior Procurement Executive. Your $40M action → **HPA/PEO**.

5 **Publicize, document, award.** Post the justification to SAM.gov (within 14 days of award; 30 for urgency; national-security actions are exempt from synopsis), keep the market research and approvals in the file, then award — *every claim in the J&A has to trace to something in the file.*

KNOW COLD

- **Default:** full & open competition required over SAT **$350,000**.
- **CICA carve-outs — SAMO:** SAP · Authorized by statute · in-scope Mods · IDIQ/requirements Orders.
- **Seven exceptions (RFO 6.103):** one source · urgency · industrial mobilization/R&D · int'l agreement · by statute · national security · public interest.
- **J&A content (RFO 6.104-1) — ADDS JCP RFI BOT:** Agency/activity · Description of action · Description of supplies/services · Statutory authority · Justification · efforts at Competition · fair/reasonable Price · market Research · other Facts · Interested sources · Barriers actions · CO certification · Technical certification.
- **Approvals (RFO 6.104-2):** ≤$900K CO · ≤$20M Competition Advocate · ≤$90M ($150M DoD) HPA/PEO · above SPE.
- **Posting:** SAM.gov within 14 days of award; 30 for urgency; national-security exempt.

COMMON FOLLOW-UPS

> **"Only one offer came in on your competitive solicitation — now what?"**
> If the solicitation allowed under 30 days for offers, consult the requiring activity and resolicit for at least 30. If interest was real but only one firm bid, find out why — get feedback, document it, and use it to open the next competition. The award can still be made if the price is fair and reasonable.

> **"What's the difference between full-and-open *after exclusion of sources* and *other than* full-and-open?"**
> Exclusion still competes — among a deliberately narrowed field (a set-aside is the everyday example). "Other than" means one or very few sources under an RFO 6.103 exception.

> **"Who approves your $40M J&A? ...and a $15M one?"**
> $40M → HPA/PEO. $15M → Competition Advocate. (Know your ladder cold — boards love the second ask.)

> **"The program wants a bridge while the follow-on catches up. Fine?"**
> Only for a genuinely unforeseen cause — a protest, a directed strategy change, a regulatory change. "We didn't plan" is never a valid basis, and repeat bridges escalate to higher approval each time.

WATCH-OUTS

- Sole source stands or falls on **market research** — thin research reads as a pre-decided award.
- Urgency (6.103-2) is capped in duration and must quantify the harm — it is not a planning eraser.
- Don't quote legacy DFARS/DAFFARS numbers at the board — if the rule matters, confirm it's in the R-DFARS deviation set first.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A PM bursts in: her ground-station modernization needs a new encryption module integrated "immediately — the wing commander is asking weekly." The incumbent integrator says it can start Monday. She's drafted a memo titled "Sole Source Justification — Urgent" for your signature, and adds that since the module rides on the incumbent's existing $60M integration contract, "we can probably just add it as a mod anyway." The module work is estimated at $2.8M. The existing contract's SOW covers "integration of communications and crypto subsystems as identified in the modernization baseline" — and this module is in the approved baseline.

DEBRIEF — WHY IS EACH FACT HERE?

"Immediately / commander asking weekly" — bait
Pressure language pulling you toward a 6.103-2 urgency J&A. Command interest is not unusual and compelling urgency — no quantified harm, no mission stoppage.

The drafted "Sole Source Justification — Urgent" memo — bait
Someone else picked your authority before you analyzed the action. The board wants you to re-derive it.

SOW covers crypto subsystems in the approved baseline — governs
This is the fact that decides it: the work is arguably **in scope** of the existing contract. Run the scope analysis (Part 43 thinking: would offerors have anticipated it? cumulative impact?). If it's in scope, it's the **M in SAMO** — CICA doesn't apply and there is *no J&A to write*.

$2.8M value — governs the fallback
If scope analysis says it's *new work*, the action is over SAT → full and open unless a 6.103 exception holds, and at $2.8M your J&A approver would be the **Competition Advocate**.

Board-ready answer, one breath: "Before I talk exceptions, I'd do a scope review with Legal — if this module is within the existing contract's scope, CICA doesn't govern and we execute a mod. If it's out of scope, competition is the default at $2.8M, and I'd need market research to support any 6.103-1 justification — command interest alone won't carry a 6.103-2 urgency."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Recite the four SAMO carve-outs.
2. Name all seven RFO 6.103 exceptions, in any order.
3. Your J&A is $18M — who approves? $95M (DoD)? $160M (DoD)?
4. How long do you have to post a J&A to SAM.gov after award? After an urgency award?

Answers: 1) SAP · statute · in-scope mods · orders under existing vehicles. 2) One source · urgency · industrial mobilization/R&D · international agreement · statute · national security · public interest. 3) $18M → Competition Advocate; $95M DoD → HPA/PEO (DoD line is $150M); $160M DoD → SPE. 4) 14 days; 30 days for urgency.

TOPIC · RFO PART 15

Contracting by Negotiation — Source Selection

Governed by RFO 15.2 — best value (15.103), roles, exchanges, the competitive range (15.204-1), and the record that survives protest.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **competitive negotiated award** — factors, ratings, tradeoffs.
- Anyone talking to offerors **mid-evaluation**.
- A **debriefing**, an evaluation notice, or an SSA decision.
- The words *LPTA, tradeoff, discussions, competitive range, SSDD.*

THE SCENARIO

You're the PCO on a $60M competitive services acquisition, three proposals in. One is priced far below the rest with a slightly weaker technical rating; the SSEB wants to "just pick the safe one and move on." Your job: run the selection by the book — structure, exchanges, documentation — so the decision holds.

ANCHOR & WHO YOU CALL This is **RFO 15.2**. My constant companions: **Legal**, the **SSA**, and the source selection procedures — with me managing the business side and protecting proposal information.

Walk the situation

1. **The structure was set before proposals — honor it.** Best value runs a continuum (RFO 15.103): **LPTA** when requirements are crisp and risk is low; **tradeoff** when paying more for better performance can be justified. The solicitation told offerors how they'd be judged — Section L (how to submit) must trace to Section M (how evaluated), *and evaluating against anything not in the solicitation is the protest you hand-deliver.*

2. **Keep the roles straight.** **SSA** decides — independent, integrated judgment. **SSEB** evaluates each proposal against the criteria — never against each other. **PCO** runs the business: exchanges, competitive range, award, debriefs. An advisory council (for the biggest actions) compares and recommends, *and the SSEB comparing proposals to each other is a classic finding — evaluation is against the standard.*

3. **Name the exchange you're having. Clarifications**: minor/clerical, no revisions. **Communications**: before the range, to understand a proposal well enough to place it. **Discussions**: after the competitive range (15.204-1) — with everyone in the range, and *meaningful*: every significant weakness and deficiency on the table, *because unequal or hollow discussions are the most protested move in Part 15.*

4. **Close cleanly.** Final proposal revisions from everyone remaining · award without discussions only if the solicitation said so · then the record: evaluation reports that are contemporaneous, and an **SSDD** where the SSA's comparative rationale — including why the price/technical tradeoff went the way it did — is written down, *in the SSA's own reasoning, not rating-count arithmetic.*

5 **Debrief like you mean it.** Timely requests get debriefs — post-award: the evaluated result, significant weaknesses, rankings and rationale; never another offeror's proposal details. *A good debrief prevents more protests than a good lawyer.*

KNOW COLD

- **Continuum (RFO 15.103):** LPTA (crisp requirements, low risk) ↔ tradeoff (judgment justified, paying more allowed).
- **Roles:** SSA decides · SSEB evaluates vs. criteria (not vs. each other) · PCO runs business/exchanges · council compares (big actions).
- **Exchanges:** clarifications (minor, no revisions) · communications (pre-range) · discussions (post-range, all in range, meaningful).
- **Competitive range (RFO 15.204-1):** most highly rated proposals; documented decision.
- **Ratings:** technical Outstanding→Unacceptable · risk Low/Moderate/High · cost/price evaluated, never rated.
- **SSDD:** the SSA's independent comparative judgment, written — tradeoffs explained.

COMMON FOLLOW-UPS

> **"Award without discussions — when is that OK?"**
> If the solicitation preserved it and the initial proposals support a clean award. On large, complex actions, discussions usually earn their keep — say you'd weigh it, not autopilot it.

> **"An evaluator wants to ping an offeror about an ambiguity before the range."**
> That's a communication — through me, documented, no proposal revisions. The moment it invites a revision, it's discussions, and discussions have rules.

> **"Can price be a rating like technical?"**
> No — cost/price is evaluated (analysis, realism where applicable) but never adjectivally rated. It competes in the tradeoff as a number with analysis behind it.

> **"What makes discussions 'meaningful'?"**
> Each offeror hears its own significant weaknesses and deficiencies with enough substance to respond — tailored, not generic, and even-handed across the range.

WATCH-OUTS

- The lowball-with-weaker-ratings offeror is a *realism* question (cost-type) or a risk question — not a reason to bend the stated criteria.
- Only the PCO talks to offerors. An SSA (or PM) freelancing a phone call mid-selection is a procurement integrity and fairness fire — stop it, document it, get Legal.
- Unstated evaluation criteria sneak in through evaluator worksheets — audit them against Section M.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Tradeoff selection, $45M, discussions closed, FPRs in. Offeror A: slightly lower rated, price well below the Government's probable cost. Offeror B: modestly better ratings, much higher price. The SSEB chair worries B "will protest if they lose." Then you learn the SSA — without you — called Offeror A, told them their price "is way out of line with our probable cost," flagged conflicts between their EN responses and their FPR, and "gave them three ways to fix it."

DEBRIEF — WHY IS EACH FACT HERE?

The SSA's solo phone call — **governs**
That call was **discussions** — after FPRs, with one offeror, inviting revision. Unequal exchanges with a single offeror after close is about as serious as Part 15 problems get. Stop everything; Legal now.

"Three ways to fix it" — **compounds it**
Coaching one offeror toward award is disparate treatment on the record — the remedy has to be structural, not cosmetic.

Price far below probable cost — **governs, separately**
Legitimately handled through the evaluation itself (realism on cost-type; risk assessment otherwise) — it never justified an off-record call.

"B will protest" — **bait**
Protest fear caused this mess. The cure is a clean record, and now likely: document the breach, reopen discussions with *all* offerors in the range, fresh FPRs — done with Legal's hand on the wheel.

Board-ready answer, one breath: "My concerns are unequal discussions after close and disclosure of our probable cost to one offeror. I'd halt award, document the exchange, and with Legal likely reopen discussions with every offeror in the range and take new FPRs — the only fix for unequal treatment is restored equal treatment, on the record."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The three exchange types and the line between them.
2. Who evaluates, who decides, who runs the business side?
3. When can you award without discussions?
4. What must a post-award debrief include — and exclude?

Answers: 1) Clarifications (minor, no revisions) · communications (pre-range) · discussions (post-range, meaningful, all in range). 2) SSEB · SSA · PCO. 3) Solicitation said so and initial proposals support it. 4) Include: evaluated result, significant weaknesses, ranking/rationale. Exclude: other offerors' proposal contents.

TOPIC · RFO PART 15

Certified Cost or Pricing Data & Proposal Analysis

Governed by RFO 15.4 — when certified data is required (15.403-3), the exceptions (15.403-2), and the analyses (15.404).

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **sole-source proposal** lands on your desk — especially cost-type, especially over $10M.
- A skinny proposal: **"a one-page cost summary"** for a multi-million-dollar change.
- A PM saying **"we don't need all that cost data — just get it on contract."**
- The words *ECP, fair and reasonable, TINA, sweeps, defective pricing.*

THE SCENARIO

You're the PCO on a sole-source CPFF development effort. The contractor submits a $12M engineering change proposal with a one-page cost summary. The PM hands you a technical evaluation that says "costs look fine" and asks you to cut the mod by Friday. Your job: get the data the statute requires, analyze it properly, and document a fair and reasonable price that survives review.

ANCHOR & WHO YOU CALL This is **RFO 15.4**. I'd bring in **Legal** and my **pricing office**, and line up **DCMA/DCAA** support depending on dollars and contract type.

Walk the situation

1. **Name what the statute requires — and why.** Certified cost or pricing data are **all the facts that, as of the date of price agreement, prudent buyers and sellers would reasonably expect to significantly affect negotiations** — factual and verifiable, not judgmental (a vendor quote is data; the hours you think it takes is judgment). The Truthful Cost or Pricing Data statute requires it for actions over **$10M** (entered after 30 Jun 2026; earlier contracts and their mods keep the $2.5M trigger), *because it puts the Government and the contractor on the same baseline of facts — that's how you protect the taxpayer in a sole-source room.* A one-page summary on a $12M sole-source ECP doesn't meet that.

2. **Check the exceptions before you demand certified data.** They live at **RFO 15.403-2** — run **CLAWM**: **C**ommercial products/services · prices set by **L**aw or regulation · **A**dequate price competition · **W**aiver by the HCA · **M**odifications of commercial items. Also no certified data at or below the SAT, for exercising priced options, funding overruns, or interim billing adjustments. Here: sole source, non-commercial, over threshold, no waiver → *certified data is required, and the "we competed it at award" argument died the day the competition ended — this mod's price was never tested by competition.*

3. **Get a real proposal, element by element.** Ask for the cost elements with support: **engineering labor** (hours, skill mix, rates), **overhead and G&A rates** (verified through DCMA forward pricing rate agreements/recommendations), **subcontracts** (quotes, or their own cost data — subcontract cost data flows down), **materials** (bill of materials, quotes), **travel and ODCs**. Check it against the proposal adequacy checklist before you spend anyone's time analyzing it.

4. **Run the right analyses (RFO 15.404). Price analysis (15.404-1) always** — bottom line against something: prior buys, IGCE, published prices. **Cost analysis (15.404-2)** because certified data is required — each element, using the **technical evaluation** (a real one — hours, mix, materials, BOEs, not "costs look fine") and DCMA/DCAA rate support. **Profit/fee analysis** through the weighted guidelines structured approach (performance risk, contract-type risk, facilities capital) — and know the CPFF fee ceilings: **15% R&D · 10% most others · 6% A&E**. *Cost realism (15.404-3) belongs to competitive cost-type source selections — mention it only if asked.*

5. **Negotiate, then close the record.** Build going-in and objective positions, get business clearance per your activity's ladder, negotiate, then document the **Price Negotiation Memorandum** — the full story: positions, data relied on, profit basis, and the statement that the price is fair and reasonable. Obtain the **Certificate of Current Cost or Pricing Data** at agreement, *because the certificate is what makes defective-pricing remedies enforceable later.*

KNOW COLD

- **Definition:** facts a prudent buyer/seller would expect to significantly affect price negotiations — factual, verifiable, not judgmental.
- **Threshold (RFO 15.403-3): $10M** for actions entered after 30 Jun 2026 (FY26 NDAA §1804); $2.5M for earlier contracts and their mods. Prohibited at/below SAT ($350K).
- **Exceptions (RFO 15.403-2) — CLAWM:** Commercial · Law/regulation · Adequate price competition · Waiver (HCA) · commercial Mods. Plus: priced options, overruns, interim billing.
- **Mods:** threshold tests the **absolute value** of added + deleted work ($1M added + $1M deleted = $2M).
- **Analyses (RFO 15.404):** price analysis always · cost analysis when certified data required · cost realism for competitive cost-type · technical analysis feeds cost analysis · weighted guidelines for fee.
- **Fee ceilings (CPFF):** 15% R&D · 10% most others · 6% A&E.
- **Close-out:** PNM + Certificate of Current Cost or Pricing Data at price agreement.
- **Defective pricing (all 5):** it was cost or pricing data · existed before agreement · wasn't disclosed · Government relied on it · reliance increased the price → price reduction + interest.

COMMON FOLLOW-UPS

"What's the difference between certified and other-than-certified cost or pricing data?"
The data can be identical — the certificate is the difference. Other-than-certified is what you request to determine price reasonableness when an exception applies; no certificate, no defective-pricing remedy.

"The contractor did a 'sweep' after agreement and found new data — now what?"
Sweeps are recommended, not required. Before award: incorporate — if the corrected price is lower, adjust down; if higher, the contractor generally eats it unless it's unreasonable, and you may reopen. After award: that's **defective pricing** — the Government is entitled to a price reduction plus interest; bring in Legal.

"The contractor refuses to provide further support during fact-finding."
Document exactly what was requested and refused, use DCMA/DCAA to press the field organization, elevate through the contractor's management — and remember I can't award without determining the price fair and reasonable. No data, no deal, and the file shows why.

"When would you get DCAA vs. DCMA support?"
Field pricing support scales with dollars and type — DCMA forward-pricing rate support around $2.5M+ (fixed-price) / $10M+ (cost-type); DCAA audit at $10M+ (fixed-price) / $100M+ (cost-type). Below those, my pricing office and I work it.

WATCH-OUTS

- "Adequate price competition *at original award*" does **not** except a later sole-source mod — test the exception at the action, not the contract.
- The RFO's printed 15.403-3 text still shows the pre-NDAA $2.5M — the statute controls; know both numbers and the 30 Jun 2026 line.
- A technical eval that says "costs are adequate" without hours/mix/materials analysis isn't a technical evaluation — send it back.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

July 2026. You're the PCO for a sole-source $14M FPIF production add-on to a fielded ground radar — a new contract action, proposal in hand. The prime's proposal includes a $6M subcontract for RF amplifier modules with a ground rule: "the subcontract is commercial — pricing detail cannot be provided." The PM notes the original radar contract "was competed three years ago, so pricing's already been scrubbed," and finance wants award before the fiscal year closes. The prime's cover letter offers "summary-level cost data in the interest of schedule."

DEBRIEF — WHY IS EACH FACT HERE?

July 2026 + new $14M sole-source action — governs
Post-cutover action over **$10M**, sole source, no exception on its face → certified cost or pricing data is **required**. "Summary-level in the interest of schedule" doesn't satisfy the statute.

"Competed three years ago" — bait
Adequate price competition excepts the *action that was competed*. This action wasn't. The exception fails at the action level.

$6M "commercial" subcontract ground rule — bait, partially
A commercial determination, if it holds, excepts the *subcontract* from certified data — it does not excuse the prime's obligation, and I still need **data other than certified** sufficient to find the subcontract price fair and reasonable. First question: does the commercial assertion actually survive scrutiny?

Fiscal-year pressure — bait
Schedule never waives the statute. If time is truly critical, the honest tools are a properly supported proposal now, or leadership accepting the risk path with eyes open — not thin data.

Board-ready answer, one breath: "This is a $14M sole-source action after the June 2026 cutover, so certified cost or pricing data is required — prior competition excepted the old action, not this one. I'd evaluate the commercial assertion on the $6M sub; if it holds, the sub is excepted from certification but I still need enough data to find its price fair and reasonable. Then price analysis plus element-by-element cost analysis with a real technical eval, weighted guidelines for profit, PNM and certificate at agreement — and the fiscal calendar doesn't change any of it."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Current certified-data threshold, and the date line that changed it?
2. Recite CLAWM — and where do the exceptions live in the RFO?
3. Which analysis is always required? When does cost realism apply?
4. All five elements of defective pricing.
5. CPFF fee ceilings for R&D, most others, A&E.

Answers: 1) $10M for actions entered after 30 Jun 2026 (FY26 NDAA §1804); $2.5M before. 2) Commercial · Law/regulation · Adequate price competition · Waiver · commercial Mods — RFO 15.403-2. 3) Price analysis, always (15.404-1); cost realism on competitive cost-type source selections (15.404-3). 4) Was cost/pricing data · existed pre-agreement · not disclosed · relied upon · increased the price. 5) 15% · 10% · 6%.

Contract Types

Governed by RFO Part 16 — matching risk to type (16.102–16.104), the FP and cost families, T&M (16.601), and the E.O. 14402 justification (16.104).

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **"what type would you use?"** question — or a type mismatched to risk.
- Vague requirements priced **firm-fixed**, or mature production on **cost-plus**.
- An incentive structure, a share ratio, a **PTA**.
- The words *FFP, CPFF, FPIF, level of effort, D&F.*

THE SCENARIO

The program brings you two actions the same week: a development effort with genuinely unknowable integration risk, and a fifth production lot of a stable line. The PM wants FFP on both "because it protects the Government." Your job: put the risk where it belongs and justify the type on the record.

ANCHOR & WHO YOU CALL This is **RFO Part 16**. Type selection is negotiated with the contractor and documented (16.102–16.103) — pricing and Legal shape the incentive math.

Walk the situation

1. **Ask the risk questions first.** How well-defined is the requirement? How good can the estimate be? What's the technical risk, the competition, the cost history, the state of the contractor's accounting system? *Type selection is risk allocation: put cost risk on whoever can actually manage it, with incentives for economical performance.*

2. **Fixed-price family — when the work can carry it.** **FFP**: defined requirement, fair price achievable — contractor bears cost risk (your production lot). **FPIF**: cost uncertainty worth sharing — target cost/profit, ceiling, share ratio, and the **PTA** where every extra dollar is the contractor's. **FFP-EPA**: long-period market volatility handled by index, not padding.

3. **Cost family — when it can't.** Development with real unknowns → cost-type: **CPFF** (fee fixed at award — effort, not outcome), **CPIF** (fee moves with cost via share ratio, min/max). Every cost-type needs an adequate **accounting system** and a **D&F**, and costs must be **allowable, allocable, reasonable**, *because on cost-type the Government holds the cost risk — the controls are the price of that.*

4. **T&M is the last resort — treat it that way.** RFO 16.601: only when scope/duration genuinely can't be estimated — ceiling price, burdened rates, and a D&F explaining why nothing else works and how you'll get off T&M next time.

5. **Know the new gate: other-than-FFP justification (RFO 16.104).** Under E.O. 14402, covered non-fixed-price awards above the agency threshold (**$10M most agencies; DoD $100M**) require a justification approved at the agency's designated level, *a 2026 change the board will expect you to know exists.*

KNOW COLD

- **Selection drivers (16.102–103):** requirement definition · estimate confidence · technical risk · competition · accounting system · history. Documented.
- **FP family:** FFP · FPIF (target cost/profit, ceiling, share, **PTA = (Ceiling − Target Price)/Gov Share + Target Cost**) · FFP-EPA.
- **Cost family:** CPFF (fee fixed; 100% work = 100% fee) · CPIF (share ratio, min/max fee) · needs D&F + adequate accounting; costs allowable/allocable/reasonable.
- **Fee ceilings:** 15% R&D · 10% most cost-type · 6% A&E.
- **T&M (16.601):** last resort — ceiling, D&F, exit plan.
- **E.O. 14402 (16.104):** non-FFP justification — $10M most agencies / **$100M DoD**.

COMMON FOLLOW-UPS

> **"Walk me through the PTA."**
> The point where the ceiling takes over: (ceiling price minus target price) divided by the Government's share, plus target cost. Past it, each cost dollar comes out of profit — the contractor is effectively on FFP from there to the ceiling.

> **"Why not FFP the development effort — doesn't it protect us?"**
> A contractor forced to price the unknowable pads the price or fails trying — both cost the Government more. FFP on high-uncertainty work is risk denial, not risk transfer.

> **"CPFF vs. CPIF in one sentence each?"**
> CPFF: fee fixed at award regardless of cost outcome — buys effort under uncertainty. CPIF: fee slides with cost performance inside a min/max — buys cost discipline when a credible target exists.

WATCH-OUTS

- No cost-type without an adequate accounting system — it's a gate, not a formality.
- "Level of effort" CPFF pays for hours, completion CPFF pays for an outcome — know which you're signing.
- Chains into pricing (weighted guidelines: contract-type risk drives fee) and into UCAs (definitization type).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A PM wants to award a $28M "FFP" contract for operating and continuously improving a legacy data-processing pipeline — the improvement work is "whatever the ops tempo surfaces, we can't predict it." The contractor proposed a 12% fee "to cover the unknowns," and offers to "convert to T&M whenever things get fuzzy." The contractor has never had a Government cost-type contract and its accounting system has never been reviewed.

DEBRIEF — WHY IS EACH FACT HERE?

"Whatever the ops tempo surfaces" — governs
The improvement scope is genuinely unestimable — that half of the work can't carry FFP. Structure it: FFP the defined operations, and put the unpredictable work in a separately typed lane sized to its risk.

12% fee "to cover the unknowns" — bait
Padding fee to absorb risk is the FFP failure mode in miniature — price risk through structure (type, incentive, ceiling), not through fee.

"Convert to T&M when fuzzy" — bait
T&M is a last resort with a D&F, ceiling, and exit plan — not a convenience valve. An open conversion promise is an invitation to never estimate anything.

No reviewed accounting system — governs
Whatever cost-type or T&M lane emerges, the accounting-system gate comes first — that fact constrains the whole menu.

Board-ready answer, one breath: "I'd split the requirement: FFP the well-defined operations, and for the unpredictable improvement work pick a type that matches its risk — which first means dealing with the accounting-system gate. Fee doesn't absorb risk, structure does; and T&M only enters with a D&F and an exit plan, not as a standing escape hatch."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Five type-selection factors.
2. The PTA formula.
3. Two gates every cost-type contract must clear.
4. E.O. 14402 justification thresholds — DoD and most agencies.

Answers: 1) Requirement definition · estimate confidence · technical risk · competition · accounting system · acquisition history (any five). 2) PTA = (Ceiling − Target Price) ÷ Gov share + Target Cost. 3) Adequate accounting system; D&F. 4) DoD $100M; most agencies $10M.

TOPIC · RFO 16.5

IDIQ Ordering & Fair Opportunity

Governed by RFO 16.5 (multiple-award ordering at 16.507) — every awardee gets a fair shot at every order, unless a named exception applies.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **task/delivery order** against a multiple-award vehicle.
- A customer who wants an order **steered to a favorite holder**.
- The words *logical follow-on, minimum guarantee, ordering period, D&A.*
- An order-level **protest threat**.

THE SCENARIO

You manage a five-holder MA-IDIQ. The program wants a $2M non-urgent follow-on effort awarded directly to Contractor A, who won the original $3M task order sole-source under urgency last year — "it's a logical follow-on, they're already in the code." Your job: apply fair opportunity honestly, or fit a real exception.

ANCHOR & WHO YOU CALL This is **RFO 16.5 / 16.507**. Order competition is my process to run — **Legal** checks the exception logic, and the **ombudsman** exists for holders who think it wasn't fair.

Walk the situation

1. **Start from the rule: everyone gets considered.** On a multiple-award vehicle, each holder gets a **fair opportunity** to be considered for each order — *the whole reason we prefer multiple award is competition that continues for the life of the vehicle, not one competition at award and steering ever after.*

2. **Test the claimed exception with a straight face.** The named exceptions: **urgency** (unacceptable delay) · **only one capable** (unique/ specialized) · **logical follow-on** · **minimum guarantee** · **statute** · **small business set-aside** at the order level. The trap in this scenario: a logical follow-on to an order that was *itself not competed* compounds the original non-competition, *so I'd advise competing it — every holder is one mini-competition from being "already in the code."*

3. **Scale the order process to the dollars (RFO 16.507).** Small orders: streamlined consideration, documented basis. Bigger orders: clear requirement statement, stated factors, fair response time, award basis — and above the order-debrief breakpoint (**$7.5M**), debrief rights.

4. **Paper the exception like a mini-J&A.** Over the SAT, an exception rides a **D&A** routed through the same approval tiers as a J&A (CO ≤$900K · Competition Advocate ≤$20M · HPA/PEO ≤$90M/$150M DoD · SPE above) and gets posted, *because fair-opportunity exceptions are where IDIQ discipline goes to die if nobody documents.*

5. **Know the protest lane.** Order protests at GAO: only when the order grows the contract's scope/period/ceiling — or above **$35M (DoD)** / $10M civilian. Below that, the **ombudsman** is the relief valve.

KNOW COLD

- **Rule:** fair opportunity to be considered for every order over the micro-purchase threshold.
- **Exceptions:** urgency · only-one-capable · logical follow-on · minimum guarantee · statute · order-level small business set-aside.
- **Ordering (16.507):** process scales with dollars; order debriefs from **$7.5M**.
- **D&A over SAT** — same approval ladder as a J&A; posted.
- **Protests:** GAO only for scope/period/ceiling growth or orders over **$35M DoD** ($10M civilian); otherwise ombudsman.
- **Structure:** minimum guarantee obligated at award · task = services, delivery = supplies.

COMMON FOLLOW-UPS

> **"What makes a follow-on 'logical' enough to use the exception?"**
> Genuine continuity economics — the original order was competed (or properly excepted), and switching performers mid-stream would cost duplication the Government can't recover. Used sparingly, documented hard, and it weakens every time you stack it.

> **"A holder complains the last three orders all went to one firm."**
> They get the ombudsman, and I get a look in the mirror: consideration has to be real — rotating "considered but lost" paperwork isn't fair opportunity.

> **"Can you set aside an order for small business on a mixed vehicle?"**
> Yes — order-level set-asides are a recognized exception lane; document the Rule-of-Two logic among holders.

WATCH-OUTS

- Urgency-then-follow-on-then-follow-on is the steering pattern boards (and IGs) hunt for.
- An order outside the vehicle's scope isn't an order — it's a new procurement wearing a task-order costume (and it's protestable on that basis at any value).
- Chains into small business (order set-asides), scope (Part 43 thinking), and protests.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Calibration-services MA-IDIQ, two holders: a large business at $7.1M of its $7.5M ceiling, and an SDVOSB at $2.6M of its ceiling, both minimums satisfied, three ordering years left. A $260K Phase II repair requirement arrives; the customer wants it awarded to the large business "as a logical follow-on to their Phase I win." The SDVOSB was rated technically acceptable in the Phase I competition. The large business's BD lead has already emailed you a draft SOW "to save time."

DEBRIEF — WHY IS EACH FACT HERE?

> **$7.1M of $7.5M ceiling consumed** — governs
> The "logical follow-on" would nearly exhaust the large holder's ceiling with three years left — steering an order into a nearly-full ceiling is bad vehicle management even before fairness enters.

SDVOSB rated acceptable in Phase I — governs
A capable second holder guts "only one capable" and weakens "logical follow-on" — fair opportunity (or an order-level set-aside) is available and defensible.

Contractor-drafted SOW — bait
A holder writing the order's SOW is a biased-ground-rules OCI in miniature — decline it, write our own, and note the contact in the file.

"Save time" framing — bait
A $260K order competition between two holders costs days, not months — the time argument doesn't survive arithmetic.

Board-ready answer, one breath: "I'd compete it between the holders — the SDVOSB proved capability in Phase I, so no exception honestly fits; and steering it would nearly max the large holder's ceiling anyway. The vendor-drafted SOW goes unused, and if the customer insists, the exception needs a D&A I don't think survives review."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. All six fair-opportunity exceptions.
2. Order-debrief breakpoint? GAO order-protest thresholds?
3. What document supports an over-SAT exception, and who approves at $12M?

Answers: 1) Urgency · only-one-capable · logical follow-on · minimum guarantee · statute · order-level small business set-aside. 2) $7.5M; $35M DoD / $10M civilian (or scope/period/ceiling growth at any value). 3) A D&A; $12M → Competition Advocate.

TOPIC · RFO PART 17

Options

Governed by RFO 17.2 — pricing options at award, and the checklist (17.204-1) before you exercise one.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- An **option year decision** approaching — exercise or not.
- Performance wobbles **right before renewal**.
- A missed **notice date**.
- The words *unilateral right, evaluated at award, five-year limit.*

THE SCENARIO

Year three of a competitive services contract, first option decision due in 60 days. Performance has been acceptable-with-flags; the market has softened since award. Your job: treat the option as the decision it is — with every gate checked — not a rubber stamp.

ANCHOR & WHO YOU CALL This is **RFO 17.2 / 17.204-1**. Inputs from the **COR's surveillance record**, **funding**, and a fresh look at the **market**.

Walk the situation

1. **Remember what an option is — and isn't.** A unilateral Government *right* to buy more or extend — priced at award, evaluated in the original competition, synopsis-covered. It obligates the contractor if exercised; it never obligates the Government to exercise, *which is exactly why the exercise decision has its own gates.*
2. **Run the 17.204-1 gates, out loud.** **Funds available** · the option **still meets an existing need** · it's the **most advantageous method**, price and other factors considered — including a fresh look at the **market** and the **price's continued reasonableness** · contractor isn't **excluded** in SAM · **performance** has been considered. *Each gate is a place the board can push — have a sentence ready for every one.*
3. **Honor the mechanics.** Written notice by the contract's date — miss it and the unilateral right lapses; anything after is a **bilateral** negotiation the contractor can decline or reprice.
4. **Know the duration rails.** Services: base plus options generally capped at **5 years**. Beyond the standard rails, approvals escalate — and a services extension via the extension clause runs **6 months max**, *the honest bridge while a follow-on catches up, not a strategy.*

KNOW COLD

- **Nature:** unilateral right · priced + evaluated at award · exercise is always a choice.
- **Exercise gates (17.204-1):** funds · existing need · most advantageous (market + price re-check) · not excluded · performance considered.
- **Mechanics:** written notice by the contract date; late = bilateral.
- **Rails:** services base+options ≈ 5 years; extension-of-services clause ≤ 6 months.
- **Don't use options** when there's no realistic chance of exercise, prices are too volatile to hold, or the full need is known and funded now.

COMMON FOLLOW-UPS

> **"Market prices dropped 15% since award. Exercise anyway?"**
> Only if I can still call the option price the most advantageous path after an informal market check — otherwise the honest answer may be a new competition. The option price was reasonable *then*; the gate asks about *now*.

> **"You missed the notice window by a week."**
> The unilateral right is gone. If continuing is still best, it's a bilateral agreement — negotiated, documented, and the contractor holds leverage. Then I fix the suspense system that let it slip.

> **"Performance is shaky — exercise and 'manage it'?"**
> The performance gate exists for exactly this. Options are leverage: a contractor renewed despite flags learns the flags don't matter. Decide with the record, not with inertia.

WATCH-OUTS

- "We always exercise" is how options stop being decisions — the file needs this year's determination.
- An unpriced, unevaluated "option" isn't an option — adding one later is new work (scope + competition follow).
- Chains into fiscal law (whose money funds the option year) and terminations (the alternative nobody wants to say).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A depot-support contract's option two is due; notice date in 21 days. The COR's file: two quality escapes, both closed with corrective action, CPARS "satisfactory." The contractor emails: they'll "need a 9% price adjustment to keep performing" because of wage pressure — "or we'd understand a no-cost mutual walk-away." The PM says funding for the option year arrives in the new fiscal year, three weeks after the notice date.

DEBRIEF — WHY IS EACH FACT HERE?

> **"9% adjustment to keep performing"** — governs
> An option exercises at its *priced* terms — a contractor conditioning performance on a raise is refusing the option and inviting a negotiation. Exercise unilaterally at the option price, or don't; there's no "exercise at +9%."

Closed quality escapes, satisfactory CPARS — governs
The performance gate: documented, considered, and here probably passable — flags with completed corrective action are a judgment call to make on the record.

Funding arrives after the notice date — governs
Availability-of-funds mechanics exist for exactly this seam — align the exercise with the funds clause rather than obligating money that isn't there (the fiscal-law follow-up is coming).

"Mutual walk-away" offer — bait
That's the contractor negotiating against your leverage. The Government's alternatives — exercise, extend short, or recompete — get evaluated on their merits, not on the emailed menu.

Board-ready answer, one breath: "The option exercises at its price or not at all — the 9% ask is a refusal dressed as a condition. I'd run the gates: performance is documented and arguably passes; the funding seam is handled through availability-of-funds mechanics; and if the contractor truly won't perform at the option price, my paths are a short extension while I recompete — with the record showing exactly why."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The exercise gates, all of them.
2. What happens legally if the notice date passes?
3. The services duration rail and the extension-clause cap.
4. Three situations where you shouldn't use options at all.

Answers: 1) Funds · existing need · most advantageous (fresh market/price look) · not excluded in SAM · performance considered. 2) The unilateral right lapses — continuation is bilateral. 3) ~5 years base+options; 6-month extension cap. 4) No realistic exercise chance · volatile pricing · full requirement already known and funded.

TOPIC · RFO 17.5

Interagency Acquisitions & the Economy Act

Governed by RFO 17.5 — using another agency's contract or contracting shop, with the D&F to prove it was the right call.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- The program wants to **ride another agency's vehicle** (GWAC, GSA, another service's IDIQ).
- A **MIPR** in the fact pattern.
- Money moving to **another agency to buy on your behalf**.
- The words *direct acquisition, assisted acquisition, best procurement approach.*

THE SCENARIO

The comm squadron wants enterprise software delivered "next month" by sending $800K to another agency that "has a vehicle for this." Your job: pick the right interagency lane, produce the right determination, and keep fiscal accountability intact.

ANCHOR & WHO YOU CALL This is **RFO 17.5**. **FM** rides along for the money mechanics, Legal for the authority, and the servicing agency's terms get read, not assumed.

Walk the situation

1. **Name the lane. Direct**: we place our own order against their vehicle — our CO, their contract. **Assisted**: their shop awards and administers on our behalf — which requires a written **interagency agreement** both sides sign, *because someone else spending your appropriation without an agreement is how audits begin.*
2. **Justify that it's the best approach.** For orders against non-DoD vehicles over the SAT: a **best-procurement-approach D&F** — alternatives considered, schedule/performance expectations, the servicing agency's authority and track record, and compliance with DoD-unique requirements.
3. **Know when the Economy Act governs.** It's the *residual* authority — only when no more specific authority (FSS, GWACs) covers the transaction. Economy Act orders ride a **MIPR** and always need a D&F: in the Government's interest, and the supplies/services can't be obtained as conveniently or economically from private sources.
4. **Keep fiscal discipline across the seam.** Your appropriation keeps its color, purpose, and clock when it travels — bona fide need and time limits don't reset at the other agency's door, *and unspent MIPR balances come home; they don't become the servicing agency's slush.*

KNOW COLD

- **Lanes:** direct (our order, their vehicle) · assisted (they award for us — written IA required).
- **Non-DoD vehicle over SAT:** best-procurement-approach D&F.
- **Economy Act:** residual authority · MIPR · D&F (Gov't interest + not better from private sector) · at least one: their contract, their expertise, or their statutory authorization.
- **Fiscal:** appropriations keep purpose/time/amount rules across agencies; unused funds return.

COMMON FOLLOW-UPS

"Why not just MIPR it and let them worry about it?"
Because accountability doesn't transfer with the money — the requirement, the fiscal rules, and the outcome are still ours. The D&F exists to prove we chose this lane deliberately.

"Direct vs. assisted — who's the contracting officer?"
Direct: our CO places the order under their contract's terms. Assisted: their CO acts for us under the interagency agreement — which is why that agreement must define roles before a dollar moves.

"When is the Economy Act the wrong cite?"
Whenever a more specific authority exists — schedules and GWACs carry their own authority. Citing the Economy Act for a schedule order tells the board you memorized a name, not a framework.

WATCH-OUTS

- "They have a vehicle" is the beginning of the analysis, not the end — scope of their vehicle matters too.
- Watch expiring funds pushed out via MIPR at year-end to "park" them — bona fide need follows the money.
- Chains hard into fiscal law — assume the follow-up is about colors and clocks.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

September 12th. A PM arrives with a signed MIPR for $1.9M of current-year O&M to a civilian agency's assisted-acquisition shop for a "12-month analytics support task" — award expected "by December, they're backed up." The PM says the funds "are good because we're sending them before September 30th," and there's no interagency agreement on file yet, "but they say their standard one covers everything."

DEBRIEF — WHY IS EACH FACT HERE?

O&M sent now, award "by December" — governs
Sending expiring funds cross-agency doesn't extend their life — the bona fide need and obligation rules follow the money. A December award of FY-expiring O&M for services starting then is the parking scheme fiscal lawyers feast on.

"Good because we send them before Sep 30" — bait
Transfer isn't obligation. The clock runs until a qualifying obligation exists — moving money to another agency's account doesn't stop it.

> **No interagency agreement on file** — **governs**
> Assisted acquisition requires the signed agreement — roles, terms, fees — before performance. "Their standard one covers everything" is not an agreement in our file.

> **Over-SAT, non-DoD servicing agency** — **governs**
> The best-procurement-approach D&F is required — and "they're backed up until December" is evidence *against* this being the best approach.

Board-ready answer, one breath: "Three problems: the funds question — expiring O&M doesn't gain life by traveling, so a December award likely fails bona fide need; the missing interagency agreement, which must be signed before we proceed; and the D&F, which has to honestly conclude a backed-up shop is our best approach. As written, I'd pull the MIPR back and either buy it ourselves or fix all three on the record."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Direct vs. assisted — the one-sentence difference and the document assisted requires.
2. When does the Economy Act apply, and what paperwork rides with it?
3. Does sending funds to another agency stop the fiscal clock?

Answers: 1) Direct: our CO orders on their vehicle; assisted: their shop buys for us — signed interagency agreement required. 2) Only absent a more specific authority; MIPR + D&F (Government's interest, not better from private sector). 3) No — purpose, time, and amount rules travel with the money.

TOPIC · RFO PART 32 + FISCAL LAW

Contract Finance & Fiscal Law

Financing governed by RFO Part 32; the money itself by the appropriations triad — Time, Purpose, Amount.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **color-of-money** question: O&M vs. RDT&E vs. procurement.
- **Year-end money**, crossing fiscal years, severable vs. non-severable services.
- A contractor needing **cash before delivery**.
- The words *bona fide need, ADA, 75% notice, limitation of funds.*

THE SCENARIO

A PM has $10M of this year's RDT&E to start a development project she says will run five years and ~$100M total — and she "figures O&M can finish it in the out-years." Meanwhile a contractor on one of your incrementally funded cost contracts warns it's burning faster than planned. Your job: keep every obligation inside Time, Purpose, and Amount — and finance performance the right way.

ANCHOR & WHO YOU CALL Financing is **RFO Part 32**; the money rules are statutory. **FM and Legal** are the battle buddies — fiscal answers are never solo answers.

Walk the situation

1. **Run the TPA triad on every obligation. Time**: funds obligate only during their availability window, for a **bona fide need** of that period. **Purpose**: money spends only on what Congress appropriated it for — development money develops, O&M operates. **Amount**: never obligate beyond (or ahead of) the appropriation — that's the **Anti-Deficiency Act**, *the one violation with names-attached reporting to Congress.*

2. **Know the colors and their clocks. O&M (3400)** — 1 year, day-to-day operations. **RDT&E (3600)** — 2 years, development. **Procurement (3010/3080)** — 3 years, production end items. MILCON — 5. The PM's plan fails Purpose on its face: O&M can't finish a development effort, *and "we'll find money later" is incremental programming, not a funding strategy I can obligate against.*

3. **Severable vs. non-severable is where Time gets tested. Severable** services (benefit as performed — maintenance, support): current-year funds, may cross fiscal years but generally **≤12 months**. **Non-severable** (single outcome — one study, one overhaul): **fully funded up front** from the year of award, may run longer than a year.

4. **Watch the funding clauses do their job.** Fully funded cost contracts: **Limitation of Cost** — contractor notifies at ~**75%** of estimate. Incremental: **Limitation of Funds** — same rhythm against the allotted amount. The burning-fast contractor triggers exactly this machinery: notice, Government decides fund-or-not, *and the contractor isn't obligated to perform past the funded amount — nor entitled to overrun into unfunded space.*

5 **Finance performance in order of preference (RFO Part 32).** Private financing first · customary contract financing (progress payments; **performance-based payments preferred** for fixed-price) · unusual financing and advance payments last, with escalating approvals. Fund status after expiration: **expired** money adjusts existing obligations for 5 years; **cancelled** money is gone for all purposes.

KNOW COLD

- **TPA:** Time (bona fide need, availability window) · Purpose (what Congress said) · Amount (ADA).
- **Colors/clocks:** O&M 1yr · RDT&E 2yr · Procurement 3yr · MILCON 5yr.
- **Severable ≤12 months, can cross FYs · non-severable fully funded up front.**
- **Clauses:** LoC (full funding) / LoF (incremental) — 75% notice; no duty (or right) to run past funding.
- **Financing order:** private → customary (PBP preferred on FP) → unusual → advance payments.
- **Fund status:** current → expired (5 yrs, adjustments only) → cancelled (gone).

COMMON FOLLOW-UPS

> **"The contractor blew past the ceiling without notice and wants more money."**
> The limitation clause allocates that risk: no timely notice, no entitlement to overrun funding — the Government may fund, but doesn't have to. Facts first: when did they know, when did they tell.

> **"Why are performance-based payments preferred over progress payments?"**
> They pay for demonstrated events, not incurred cost — better incentive alignment, recoverable in default, and less administration on costs.

> **"Can expired funds pay a claim on an old contract?"**
> Yes — within their 5-year expired window, for adjustments to obligations properly made when current. After cancellation, no.

WATCH-OUTS

- Year-end "get it obligated" pressure is where Time violations breed — bona fide need doesn't read calendars.
- Purpose violations can't be cured by intent — "it supports development" doesn't make O&M development money.
- This topic is the universal follow-up: expect it chained onto options, interagency, UCAs, and terminations.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A CPFF software-integration contract runs 1 March to 28 February, funded with one year's O&M. On 12 February the contractor emails: costs will hit the ceiling in ten days because Government-furnished test rigs "were down for repairs half the year" — they request additional funds and note "we already told the COR about the rigs back in June." The PM wants to add this year's O&M "since the work slid into this year anyway."

DEBRIEF — WHY IS EACH FACT HERE?

Notice on 12 Feb for a ceiling 10 days out — **governs**
The limitation clause's 75% rhythm exists to prevent exactly this ambush. Late notice weakens any entitlement to more funds — establish what they knew and when.

Faulty GFP "reported to the COR in June" — **bait, partially**
Defective GFP can ground a legitimate equitable adjustment — but telling the COR isn't notifying the CO, and an REA has its own lane. It doesn't convert into "send money" at the ceiling.

"Add this year's O&M" — **governs**
Which year's need is this? Work performed against last year's requirement is last year's bona fide need — funding it with this year's O&M is a Time violation. Expired funds from the proper year handle proper adjustments.

Board-ready answer, one breath: "Three lanes, kept separate: the limitation-of-cost mechanics — late notice means no automatic entitlement; the GFP issue — a potential REA, evaluated on its own record; and the money — any adjustment funds from the appropriation that bore the need, likely the prior year's expired O&M, not this year's. And the contractor isn't obligated to perform past funding while we sort it."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. TPA — say what each letter tests.
2. Colors and clocks: O&M, RDT&E, procurement.
3. Severable vs. non-severable funding rules.
4. LoC vs. LoF — which contract, what notice?
5. The financing order of preference.

Answers: 1) Time = availability + bona fide need; Purpose = appropriated use; Amount = ADA limits. 2) 1 · 2 · 3 years. 3) Severable ≤12 months, may cross FYs, current funds; non-severable fully funded up front. 4) LoC on fully funded cost contracts, LoF on incremental — ~75% notice. 5) Private → customary (PBP preferred) → unusual → advance payments.

TOPIC · R-DFARS PART 227

Data Rights

Governed by the R-DFARS Part 227 framework — who paid for development decides what the Government may do with the data.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A plan to **compete sustainment** — and a contractor asserting restrictions.
- Deliverables with **restrictive markings** (or missing ones).
- A fight over **who funded development**.
- The words *unlimited rights, GPR, limited/restricted, assertion list.*

THE SCENARIO

The PEO wants to compete sustainment of a software system built partly on a commercial platform. The contractor asserts the Government "only gets unlimited rights to code the Government developed by itself." Your job: sort the rights by funding source, test the assertions, and protect the competition path.

ANCHOR & WHO YOU CALL This is the **R-DFARS Part 227** framework. **Legal** and the program's **engineers** (who know what was built when, with whose money) are essential.

Walk the situation

1. **Start from the license model.** The Government doesn't *own* contractor data — it holds a **license** whose breadth follows the **funding source**. Technical data and computer software run on parallel but distinct tracks, *and the Government's default position is unlimited rights unless the contractor properly asserts otherwise.*

2. **Grade the rights by who paid. Unlimited**: developed entirely at Government expense — use, modify, release to anyone. **Government Purpose Rights**: mixed funding — any Government purpose including competitive reprocurement with protections, no commercial use; converts to unlimited after the negotiated period (customarily five years). **Limited** (tech data) / **Restricted** (software): private expense — internal Government use with narrow carve-outs. **SBIR rights** run on their own protected clock.

3. **Make assertions do the work.** Restrictions must be **asserted** on the assertion list, incorporated into the contract, and **marked** on delivery — the **burden of proof sits with the contractor**. "Commercial platform" matters too: commercial software rides its customary license, *so the sustainment competition turns on mapping which components carry which rights — not on the contractor's blanket sentence.*

4. **Challenge what doesn't hold up.** Written challenge · contractor responds (60-day rhythm) · unresolved → CO **final decision** → appeal rights. Until the challenge resolves, **honor the marking** — don't release contested data, *because a wrongful release can't be un-released, and it converts your leverage into their claim.*

5. **Say the real lesson: data rights are won at award, not at sustainment.** The time to price and negotiate rights (or deliverables like source, build scripts, interface docs) was the development RFP, *and the board asks this topic precisely to see if you'll plan the exit before you enter.*

KNOW COLD

- **License, not ownership;** default = unlimited unless properly asserted; burden on the contractor.
- **Funding → rights:** all Government \$ → unlimited · mixed → GPR (→ unlimited after the period) · all private \$ → limited (TD) / restricted (SW).
- **Tech data ≠ software:** parallel frameworks; commercial software rides its customary license.
- **Mechanics:** assertion list in the contract · markings on delivery · challenge → 60-day response → CO final decision → appeal; honor markings until resolved.
- **GPR is the sustainment-competition workhorse** — usable for reprocurement with protections.

COMMON FOLLOW-UPS

> **"Deliverables arrived unmarked. What rights do we have?"**
> Unmarked data delivered under the clause is effectively unrestricted in the Government's hands — but confirm through Legal before acting on it; the honest move is verifying, not pouncing.

> **"Can GPR data go to a competitor for the sustainment RFP?"**
> Yes — Government purposes include competitive reprocurement, with recipients under nondisclosure protections. That's exactly what GPR is for.

> **"The contractor says the whole system is proprietary because it 'integrates' their private-expense modules."**
> Integration doesn't launder rights — map component by component. Mixed funding at the component level yields component-level rights, and the assertion list has to be that granular.

WATCH-OUTS

- Never release contested data mid-challenge — remedy flows one direction.
- A sustainment strategy that requires rights nobody bought is a strategy problem, not a legal one — say so.
- Chains into competition (the sustainment J&A you're trying to avoid) and commercial items (customary licenses).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Sustainment planning for a mission-planning suite. The development contract file shows: module A built under the contract with program funds; module B adapted from the contractor's commercial product; module C built "on contractor IR&D, matured on contract" per the contractor. Deliverables: binaries only — source "available under a separate license, price on request." The assertion list from award names only module B. The PM proposes just emailing the whole package to two potential competitors "under NDA, to gauge interest."

DEBRIEF — WHY IS EACH FACT HERE?

> **Assertion list names only module B** — governs
> Restrictions live or die on the assertion list. Module C's "IR&D then matured on contract" story was never asserted — the Government's default position on C is strong, and the burden of proving otherwise is theirs.

Module A: program-funded — governs
Entirely Government-funded → unlimited rights. That's the clean core of any competition package.

Module B: commercial adaptation — governs, narrowly
The commercial base rides its customary license; the adaptation's rights follow the adaptation's funding. Component-level mapping, not system-level slogans.

Binaries only, source "price on request" — governs the strategy
Rights without deliverables are theoretical — if source and build artifacts weren't contract deliverables, competing sustainment may require buying them now. That's negotiating posture, budget, and schedule.

"Email it all under NDA" — bait
Not until the rights map is settled — releasing B or C prematurely hands the contractor a claim and the competition a taint.

Board-ready answer, one breath: "Component by component: A is unlimited — Government-funded; B rides its commercial license with the adaptation's rights following its funding; and C was never asserted, so the contractor carries the burden if they want restrictions now. Before anything leaves the building, we settle that map — and the real constraint may be deliverables, since rights to source we never took delivery of don't compete a sustainment contract."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The three funding scenarios and the rights each produces.
2. Who bears the burden of proving a restriction?
3. What may the Government do with GPR data?
4. The challenge sequence, and what you must not do while it runs.

Answers: 1) All Government $ → unlimited; mixed → GPR (converting to unlimited after the period); all private $ → limited (tech data)/restricted (software). 2) The contractor. 3) Any Government purpose — including competitive reprocurement under protections; no commercial use. 4) Written challenge → contractor response (60 days) → CO final decision → appeal; honor the markings until resolved.

TOPIC · RFO PART 43

Contract Modifications & Scope

Governed by RFO Part 43 — every change gets a scope verdict, because an out-of-scope mod is a sole-source award in disguise.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A PM wanting to **"just add it to the contract."**
- A change to specs, delivery, quantity — or a **requirement that morphed**.
- Another vendor asking **why work wasn't competed**.
- The words *in scope, cardinal change, constructive change, Changes clause.*

THE SCENARIO

Your $200M CPFF develops a large fixed-site radar. The program office arrives with revised documentation: they now need it *transportable* — a change they value at $50M. Your job: give the scope verdict and the path that survives both the protest and the audit.

ANCHOR & WHO YOU CALL This is **RFO Part 43**. **Legal** on the scope call, and the Part 6 machinery stands by in case the answer is "new work."

Walk the situation

1. **Type the modification. Unilateral**: admin changes, in-scope change orders, option exercises. **Bilateral**: the preferred instrument for substantive change — negotiated, signed by both, ideally with a release of claims. And know the accidental kind: a **constructive change**, when Government conduct changes the work without paperwork, *because the Government pays for changes it causes whether or not anyone wrote a mod.*
2. **Check what the Changes clause actually reaches.** Supplies: specs/drawings, shipment/packaging, place of delivery. Services: description of services, time, place. It is not a universal wand — *and using it outside its lanes is how constructive changes and disputes are born.*
3. **Run the four-corner scope test. Competition scope**: would the original offerors have reasonably anticipated this change? **Contract type**: FFP holds a tighter perimeter than cost-type. **Period**: reasonableness. **Cost**: cumulative impact — all mods together, not this one alone. Fixed-site → transportable at +$50M on $200M fails the anticipation test on its face, *so my working answer is: this is a cardinal-change risk — new competition or a J&A, not a mod.*
4. **Name the cardinal line.** A change so profound the final work isn't what was competed = **cardinal change** — beyond the Changes clause, a potential breach, and never curable by signature. The path: compete the new requirement, or carry it on a real Part 6 exception with the J&A.
5. **Watch cumulative drift.** Mod 100 is judged against the *original* contract, not against mod 99, *because scope creep is a ratchet — each click looks small, and the sum is a different contract.*

KNOW COLD

- **Types:** unilateral (admin, in-scope change orders, options) · bilateral (preferred, substantive) · constructive (conduct, not paper) · cardinal (beyond the clause — breach territory).
- **Changes clause lanes** — supplies: specs/shipping/delivery place · services: description/time/place.
- **Four-corner test:** competition anticipation · contract type · period · cumulative cost.
- **Cumulative rule:** judge against the original contract, all mods together.
- **Out of scope → Part 6:** compete it or J&A it; contractor asserts constructive-change costs promptly (30-day rhythm).

COMMON FOLLOW-UPS

> **"Who decides if it's in scope?"**
> The PCO, with Legal — documented. It's a judgment call with a test, not a vibe: anticipation, type, period, cumulative cost.

> **"A competitor found out about a big unpublicized mod and complained. Your answer?"**
> If my scope analysis is in the file and honest, I walk them (and my boss) through it. If the analysis was never done — that's the finding. Publicity follows scope: in-scope mods aren't competed or synopsized; new work is.

> **"PM directed extra testing verbally; contractor performed. What is that?"**
> A constructive change candidate — Government conduct changed the work. Contractor asserts its costs; I sort entitlement and get the direction channel fixed (all direction through the PCO).

WATCH-OUTS

- Don't use the Changes clause for period-of-performance or GFP changes — those ride their own mechanisms.
- Cost-type ≠ infinite scope — flexibility is wider, not unlimited.
- Chains into competition (the disguised sole source), REAs (pricing the change), and UCOs (unpriced change orders).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

An FFP contract delivers 120 vehicle-mounted jammers. Mod history: mod 3 added winterization kits (+$1.8M), mod 7 upgraded the power amplifier (+$4.2M), mod 11 added 20 units (+$6M). Now the PM wants mod 14: swap the jamming waveform suite for a new-generation library the vendor "already developed for another customer" (+$9.5M on an original $38M). "Each mod passed scope review individually," the file notes. The contractor hints that if mod 14 is competed instead, "the REA for disruption will be substantial."

DEBRIEF — WHY IS EACH FACT HERE?

> **"Each mod passed individually"** — governs
> The test is cumulative against the *original*: $38M has become $59.5M+ with materially different capability. Individually-blessed mods don't immunize the sum.

New-generation waveform library — governs
Anticipation test: did the original competition's offerors bid expecting a next-gen capability swap? A vendor-proprietary library "from another customer" reads like new work other vendors could compete.

FFP contract type — governs
The tightest scope perimeter of all types — cumulative drift on FFP is judged harshly.

The REA threat — bait
A disruption REA is priced and defended on its merits — it isn't a toll that buys out competition. Decisions made to avoid asserted REAs are decisions made for you.

Board-ready answer, one breath: "Cumulatively this contract has grown more than half again and is about to change capability generations — judged against the original award, mod 14 is out-of-scope new work. It gets competed or carried on a real J&A; and the REA threat gets evaluated as an REA, not as leverage over my scope call."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The four scope-test corners.
2. Unilateral vs. bilateral — which actions belong to each?
3. Define constructive change and cardinal change in one sentence each.
4. Against what baseline is mod 100 judged?

Answers: 1) Competition anticipation · contract type · period · cumulative cost. 2) Unilateral: admin, in-scope change orders, option exercise; bilateral: substantive negotiated changes. 3) Constructive: Government conduct changes work without formal direction; cardinal: change so profound it exceeds what was competed — potential breach. 4) The original contract, all mods cumulative.

TOPIC · RFO PART 45

Government Property

Governed by RFO Part 45 (45.102) — contractors furnish their own property, unless the Government's case for GFP is made and documented.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A PM wanting to **hand equipment/tooling/test rigs** to a contractor.
- **GFP late, faulty, or lost** mid-performance.
- Property questions at **contract closeout**.
- The words *GFP, property clause, IUID, best interest.*

THE SCENARIO

The program wants to furnish a contractor with two spectrum analyzers and a environmental chamber "to save money on the contract." Your job: make them earn the exception to the self-furnishing default, then paper the contract so the property is managed, marked, and comes home.

ANCHOR & WHO YOU CALL This is **RFO Part 45**. The **requiring activity** justifies; the **property administrator** (often DCMA) manages what I put on contract.

Walk the situation

1. **Hold the default line.** Contractors furnish their own property. GFP is the exception, *because every item we furnish adds administrative burden and shifts risk to the Government.*
2. **Make the requiring activity carry all four justifications.** In the Government's **best interest** · overall **benefit outweighs** the administrative burden · doesn't substantially **increase Government risk** · the requirement **can't otherwise be met**. All four, documented by the PM to me — *"saves money" alone answers one of four.*
3. **Put the machinery in the contract.** The property clause plus its management companions: identification/marking (IUID), loss reporting, property management system administration, reutilization/disposal — *the clause set is what makes "the contractor loses it, the contractor answers for it" true.*
4. **Deliver what you promised, when you promised.** GFP delivered late or defective is a Government failure with contract consequences — schedule relief, equitable adjustment. *GFP promises are performance promises: the Government is a performing party too.*
5. **Close it out deliberately.** Inventory, condition, disposition instructions — property neither vanishes nor lingers on dead contracts.

KNOW COLD

- **Default:** contractor furnishes; GFP is the justified exception (RFO 45.102).
- **Four-part justification (all four, by the requiring activity):** best interest · benefit > burden · no substantial risk increase · not otherwise met.
- **Clause machinery:** property clause + marking/IUID · loss reporting · property-system admin · disposal.
- **Late/faulty GFP** → Government-caused delay/REA exposure.
- **Property administration** is commonly delegated (DCMA) — but the contract terms are mine.

COMMON FOLLOW-UPS

"Contractor reports a Government-furnished test set stolen."
The loss-reporting clause machinery runs: report, investigate, determine liability under the risk allocation, and adjust the property record — with the property administrator carrying the process.

"Why not furnish property freely if it lowers proposed prices?"
Because price isn't the only ledger: administration, risk shift, and Government performance obligations all cost. The four-part test is that ledger.

"When is no justification needed?"
Property furnished for repair/modification/overhaul work — the property *is* the requirement there.

WATCH-OUTS

- GFP delivered late is the classic seed of a delay REA — see it coming in the schedule.
- Property riding on contracts informally ("they've had that rig for years") is an audit finding waiting.
- Chains into REAs (faulty GFP) and fiscal law (who pays repairs).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Mid-way through a CPFF sensor-integration effort, the contractor requests the Government furnish a $700K calibrated antenna range "like the one we let them use informally last year through the lab." The PM supports it: "we own one that's idle, it obviously saves the contract money." The lab chief mentions the informal arrangement ended after "some damage nobody ever sorted out."

DEBRIEF — WHY IS EACH FACT HERE?

"Idle asset, obviously saves money" — bait, partially
Savings speaks to best-interest — one of four. Burden, risk, and can't-otherwise-be-met still need answers on the record, from the requiring activity.

Informal use "through the lab" — governs
Property in contractor hands without contract coverage is the anti-pattern: no clause, no risk allocation, no accountability. Whatever happens next happens *on contract*.

Unresolved prior damage — governs
Exhibit A for why informality fails — and a live input to the risk prong of the four-part test now.

Board-ready answer, one breath: "Possibly yes — but properly: the PM documents all four justifications, the property goes on contract with the full clause set and marking, condition is baselined on delivery, and the old damage gets resolved first — because the last informal loan ended with damage nobody owned, which is exactly what the clause machinery exists to prevent."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The default rule and the four-part exception test.
2. Who writes the GFP justification?
3. Name three clause functions that ride with the property clause.
4. Consequence of delivering GFP late or faulty?

Answers: 1) Contractor furnishes; GFP only if best interest · benefit > burden · no substantial risk increase · not otherwise met — all four. 2) The requiring activity (PM), to the PCO. 3) Marking/IUID · loss reporting · property-system administration · disposal (any three). 4) Government-caused delay — schedule/equitable-adjustment exposure.

TOPIC · R-DFARS 217.74

Undefinitized Contract Actions

Governed by R-DFARS 217.74 — starting work before price is agreed, inside hard limits, with definitization on a clock.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- Work that **must start before negotiations can finish**.
- A **letter-contract flavor** arrangement, an NTE price, a spend plan.
- A definitization schedule **slipping**.
- The words *UCA, obligate 50%, qualifying proposal, 180 days.*

THE SCENARIO

A validated urgent need: counter-drone kits must start integration now; full proposal and negotiation would take months the mission doesn't have. Your job: stand up a UCA that is genuinely necessary, bounded, funded right — and then definitize it on schedule instead of letting it drift.

ANCHOR & WHO YOU CALL This is **R-DFARS 217.74**. Approval sits high (HCA-level, delegable), and the **Part 6 machinery** usually rides along — urgency UCAs and sole sources travel together.

Walk the situation

1. **Prove the UCA is warranted.** No time for negotiation before work must start · a binding instrument is needed now · waiting causes real harm. *Poor planning and convenience are disqualified reasons by name — the board will test whether your urgency is real.*

2. **Bound it.** NTE price with a rationale-backed estimate and a **spend plan** · obligate no more than **50%** of the NTE before a qualifying proposal (**75%** after) · firm technical requirements, PoP, terms, and a **definitization schedule** in the instrument, with the limitation-of-Government-liability and definitization clauses, *because the obligation caps are the taxpayer's seatbelt while price is unsettled.*

3. **Get the approval at the right level.** UCA approval sits at HCA level (delegable — and further for smaller actions). Entering one — or expanding one's scope — is a deliberate senior decision, not a workaround.

4. **Definitize on the clock.** Qualifying proposal → negotiation → definitized contract within **180 days** of the proposal (extension possible, deliberately) — and definitization also triggers when obligations reach the caps. Because work has begun, **actual costs are visible**: cost risk has shrunk and **fee should reflect that** in the weighted guidelines, *a detail that tells the board you price reality, not habit.*

5. **Don't confuse the cousins.** A **UCO** — unpriced change order — is a unilateral in-scope change awaiting adjustment on an existing contract; a UCA is a new undefinitized action. Same discipline, different animal.

KNOW COLD

- **Justified when:** no time to negotiate · binding needed now · waiting harms. Not planning failures.
- **Caps:** **≤50%** NTE obligated pre-qualifying-proposal · **≤75%** after · spend-plan paced.
- **Clock:** definitize within **180 days** of qualifying proposal (or at obligation caps).
- **Contents:** NTE · spend plan · firm requirements/PoP/T&Cs · definitization schedule · LoGL + definitization clauses.
- **Fee at definitization:** lower cost risk → lower contract-type risk in weighted guidelines.
- **UCO ≠ UCA:** unpriced change order on existing scope vs. new undefinitized action.

COMMON FOLLOW-UPS

> **"The contractor is slow-rolling the qualifying proposal. Why might that be?"**
> Every month undefinitized is a month of cost-reimbursement-like comfort at negotiation leverage. My tools: the obligation caps bite, progress-payment posture tightens, and the definitization schedule is a contract term — enforce it.

> **"Why does fee usually come down at definitization?"**
> Weighted guidelines price risk. With actuals on the books, the cost risk the fee would have paid for has partly evaporated — fee follows the remaining risk, not the original unknowns.

> **"Do UCAs need clearance? A J&A?"**
> Clearance at definitization (award-stage clearance isn't the gate). And the circumstances driving a UCA usually drive a Part 6 exception too — urgency or one-source — so the J&A rides in parallel.

WATCH-OUTS

- The definitization clock is the topic's soul — a UCA that drifts past its schedule is the finding.
- Obligating past the caps "because the work was urgent" converts urgency into an ADA problem.
- Chains into pricing (actuals, fee), competition (the parallel J&A), and fiscal law (what money, when).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Day 210 after qualifying proposal on an urgent airfield-defense UCA. Obligations sit at 72% of NTE. Negotiations stalled over overhead rates; the contractor proposes "rolling the remaining scope into a follow-on UCA to keep momentum" and notes their proposed fee "shouldn't move — we took all the risk when we started without a price." The PM asks you to obligate "the last 28% now" so the funding doesn't expire.

DEBRIEF — WHY IS EACH FACT HERE?

> **Day 210, still undefinitized** — governs
> The 180-day clock is blown — this is now a reportable discipline failure. Definitization becomes the commanding priority, with any extension papered deliberately, not assumed.

"Follow-on UCA to keep momentum" — **bait**
Chaining UCAs to avoid negotiating is the exact abuse the limits exist for — a second UCA needs its own justification and senior approval, and "we couldn't close the first one" isn't it.

"Fee shouldn't move — we took all the risk" — **bait**
Backwards: with 72% obligated and actuals visible, the remaining cost risk is small — weighted guidelines should price the risk that remains, which argues fee *down*.

"Obligate the last 28% before funds expire" — **governs, against**
The 75% post-proposal cap says no — and obligating to rescue expiring funds is a Time problem stacked on a cap violation.

Board-ready answer, one breath: "We're past the definitization clock, so closing the negotiation is now the mission — no follow-on UCA, no obligations past the 75% cap, and no year-end money parked in an unpriced action. On fee, the actuals cut the other way: risk already burned down, and the weighted guidelines will show it."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The obligation caps, before and after the qualifying proposal.
2. The definitization clock and its other trigger.
3. Two reasons that never justify a UCA.
4. UCO vs. UCA in one sentence.

Answers: 1) 50% of NTE before; 75% after. 2) 180 days from qualifying proposal; also when obligations reach the caps. 3) Lack of planning; administrative convenience. 4) UCO = unpriced unilateral change within an existing contract's scope; UCA = new undefinitized contract action.

TOPIC · LOCAL REVIEW FRAMEWORK

Clearance — Independent Review & Approval

The independent check that solicitations, negotiations, and awards implement the approved strategy at a fair and reasonable result. Tiers are set by your activity — know yours cold.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- You're about to **release an RFP** or **open negotiations** on a big action.
- Negotiations concluded — **who blesses the deal?**
- A reviewer **independent of the selection** in the loop.
- The words *business clearance, contract clearance, approval to negotiate.*

THE SCENARIO

Your $85M sole-source negotiation is ready to open: positions built, technical evaluation in hand. Your job: route the action through clearance at the right points — and explain why the review exists at all.

ANCHOR & WHO YOU CALL Clearance runs on your **activity's review framework** — the **clearance approval authority** at the tier your dollars hit, with Legal and pricing reviews feeding it.

Walk the situation

1. **Know what each clearance blesses.** **Business clearance**: approval to release a competitive solicitation, or to open sole-source negotiations — the strategy and the Government's position. **Contract clearance**: approval of the result — the award, the negotiated deal, the final selection decision, *two gates because strategy and outcome can each go wrong independently.*

2. **Say why it's independent.** The person who selected the source can't be the person who approves the selection — independence is the design, *a second set of senior eyes before the Government is committed.*

3. **Route by dollars — and know your ladder.** Tiers climb with value from PCO-level authority on smaller actions up through senior leadership on the largest; the exact rungs are set locally. At the board, state your activity's ladder from memory and place the action on it, *because "I'd look it up" works for a subsection — not for your own approval chain.*

4. **Feed the review a complete package.** The pre-negotiation position (and later the PNM) · pricing and technical support · Legal's review · the clearance authority's questions answered before the meeting, *because clearance is where thin analysis goes to be found.*

5. **Know the seams.** UCAs clear at **definitization**, not award · strictly in-scope administrative actions and incremental funding typically ride exemptions · when in doubt, ask the clearance shop early, not at the gate.

KNOW COLD

- **Business clearance** = permission to solicit / open negotiations; **contract clearance** = blessing of the result.
- **Independence:** selector ≠ approver, by design.
- **Tiers scale with dollars** — memorize your activity's ladder and your warrant's place on it.
- **UCAs:** clearance at definitization.
- **Package:** positions/PNM · pricing + technical support · Legal review.

COMMON FOLLOW-UPS

"Why two clearances instead of one?"
Because a sound strategy can still yield a bad deal, and a good deal can implement an unapproved strategy — the gates catch different failures.

"What does the clearance authority actually check?"
That the action implements the approved strategy · the price/result is fair and reasonable and supported · the file complies — statute, regulation, policy — before the Government commits.

"Clearance said no. Now?"
Fix what they flagged — position, support, or strategy — and return. Clearance friction is cheaper than any failure it prevents; treat the authority as a teammate with veto power.

WATCH-OUTS

- Don't quote a generic ladder at the board — quote *your activity's*, current, with your action placed on it.
- Scheduling clearance late is self-inflicted schedule risk — the review was never optional.
- Chains into pricing (the PNM it reviews) and UCAs (the definitization gate).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Negotiations on a $40M sole-source engine-overhaul action closed Thursday, $2.1M above the Government's objective. The PM wants award signed Monday "since we already had business clearance and the delta is only 5%." Your PNM draft explains the movement in two sentences: "positions converged after productive discussion; price determined fair and reasonable."

DEBRIEF — WHY IS EACH FACT HERE?

"We already had business clearance" — bait
Business clearance authorized opening negotiations — the *result* needs contract clearance. Two gates, two purposes; the first doesn't waive the second.

$2.1M above objective — governs
Movement from the objective is precisely what the PNM must explain — what changed, what facts emerged, why the final position is still fair and reasonable.

> **The two-sentence PNM** — **governs**
> "Productive discussion" documents nothing. The PNM tells the negotiation's full story — that draft wouldn't survive the clearance meeting, and shouldn't.

Board-ready answer, one breath: "Monday isn't the gate — contract clearance is. And before I take it there, the PNM has to actually explain the $2.1M: which cost elements moved, on what new facts, and why the result is still fair and reasonable. Business clearance opened the negotiation; it doesn't bless the deal."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Business vs. contract clearance — what each approves.
2. Why must the reviewer be independent?
3. When does a UCA clear?

Answers: 1) Business = release the solicitation / open negotiations; contract = the award/negotiated result. 2) The selector can't approve the selection — independent senior review before commitment. 3) At definitization.

Protests

Governed by RFO 33.1 — venues, the automatic stay, the override, and the PCO's job while the lawyers fight.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A disappointed offeror **after award or debrief**.
- A challenge to the **solicitation itself** before proposals close.
- Work that suddenly **must stop** — or the mission argument that it can't.
- The words *GAO, COFC, agency protest, CICA stay, override.*

THE SCENARIO

Four days after your $30M award — and two days after the losing offeror's debrief — GAO notifies you of a protest alleging unstated evaluation criteria. The PM says stopping transition work "kills the fielding schedule." Your job: run the protest response while protecting both the record and the mission, lawfully.

ANCHOR & WHO YOU CALL This is **RFO 33.1**. **Legal owns the litigation; I own the record** — and the stay decision runs through the **HCA** if override is even on the table.

Walk the situation

1. **Confirm venue and what it means. Agency**: fastest, least formal — and correctable in-house. **GAO**: the workhorse — 100-day decision, recommendations followed in practice. **COFC**: judicial, binding, no automatic stay (injunction instead), *and a protester can escalate — surviving agency review doesn't end the exposure.*
2. **Apply the stay honestly.** Post-award at GAO: filed within **10 days of award or 5 days of the required debrief — whichever is later** → **performance stops**. Two days post-debrief is inside the window: the stay is on. Pre-award: award is withheld. *The stay is CICA's teeth — treat it as law, not advice.*
3. **If the mission truly can't wait, work the override — eyes open.** Written **HCA** determination — urgent and compelling circumstances, or the Government's best interests — built on facts, with Legal, *and overrides are themselves litigable: a thin one buys you a second lawsuit.*
4. **Do the PCO's actual job.** Notify everyone with a stake (SSA, PM, the awardee) · suspend/direct as the stay requires · assemble the **agency report** — solicitation, evaluation record, SSDD, my **statement of facts** · support the memorandum of law. *The protest is won or lost on the contemporaneous record — which is why the record was built during the selection, not after the filing.*
5. **Close the loop.** Sustained → implement corrective action promptly (GAO's 60-day expectation) — reopen, re-evaluate, or recompete as recommended · denied → resume cleanly. If the agency spots its own error early: **voluntary corrective action**, fast, *before it costs protest economics and credibility.*

KNOW COLD

- **Venues:** agency (fast, informal) · GAO (100 days, stay, advisory-but-followed) · COFC (binding, injunction not stay).
- **Stay windows:** post-award — 10 days from award or 5 from required debrief, whichever later; pre-award — award withheld.
- **Override:** written HCA determination — urgent & compelling, or best interests.
- **What's protestable:** solicitations, cancellations, awards — task orders only above **$35M DoD** / $10M civilian or on scope/period/ceiling growth.
- **PCO deliverables:** notifications · stay execution · agency report + CO statement of facts · corrective-action implementation.

COMMON FOLLOW-UPS

> **"Protest filed on day 9 after award, but the debrief was never requested. Stay?"**
> Day 9 is inside the 10-day award window — stay applies. The 5-day debrief branch only substitutes when a required debrief was requested and given later.

> **"GAO recommendations are 'advisory' — so ignore one?"**
> Legally advisory, practically followed — non-compliance is reported to Congress and torches agency credibility. Treat a sustain as a to-do list with a deadline.

> **"How do you protest-proof a source selection?"**
> You don't — you record-proof it: criteria stated and followed, evaluations contemporaneous and even-handed, meaningful discussions, an SSDD with real comparative reasoning, and a debrief that answers questions instead of provoking them.

WATCH-OUTS

- Letting the awardee "work at risk" during a stay isn't a workaround — it's a violation with a witness.
- The debrief is protest prevention or protest fuel — quality matters more than speed.
- Chains into source selection (the record), fair opportunity (order protests), and debriefs.

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Award posted Monday for a base-communications recompete. The incumbent — who lost — requests a debrief Tuesday; you hold it the following Monday. Wednesday after the debrief, they file at GAO. The PM erupts: "That's day 9 after award for a required debrief held day 7 — they missed the 5-day window, right? Keep the new contractor working." Meanwhile the awardee offers to "keep going unpaid until it sorts out, as a good-faith gesture." Your Legal advisor is TDY until Friday.

DEBRIEF — WHY IS EACH FACT HERE?

> **Debrief held day 7, protest filed 2 days later** — governs
> The rule is 10 days from award *or 5 from the required debrief — whichever is later*. Two days post-debrief is timely; the stay attaches. The PM's arithmetic uses the wrong rule.

"Keep working unpaid, good faith" — **bait**
Performance is performance — paid or not, it violates the stay and taints the corrective-action space. Direct a stop in writing.

Legal TDY until Friday — **bait**
The stay isn't optional pending counsel's return — execute it now, reach whatever Legal coverage exists, and start the agency-report clock.

Board-ready answer, one breath: "The protest is timely — five days from the required debrief controls, not ten from award — so I stop performance in writing today, awardee's goodwill notwithstanding. Then notifications, the agency report, and my statement of facts; and if the fielding schedule genuinely can't absorb 100 days, the HCA override gets considered on real urgency facts, not frustration."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The post-award stay rule, precisely.
2. Three venues and one distinguishing feature each.
3. Who authorizes an override, and on what two bases?
4. Task-order protest thresholds.

Answers: 1) Stay if filed within 10 days of award or 5 days of the required debrief, whichever is later. 2) Agency — fastest/self-correcting; GAO — 100-day, automatic stay; COFC — binding, injunction instead of stay. 3) HCA, written: urgent & compelling circumstances, or best interests of the United States. 4) $35M DoD / $10M civilian, or scope/period/ceiling growth at any value.

TOPIC · RFO 33.2

REAs & Claims

Governed by RFO 33.2 and the Contract Disputes Act — the informal ask, the formal claim, and the line between them.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A contractor saying **the Government changed the work** — and wants money or time.
- **Differing site conditions**, late GFP, stop-work fallout.
- A demand letter with (or without) a **certification**.
- The words *equitable adjustment, CDA, final decision, interest.*

THE SCENARIO

Your construction contractor hits an uncharted fuel line, sits idle twelve days while the Government sorts utilities, and submits a $410K "request for equitable adjustment" letter. Your job: classify it, evaluate entitlement and quantum honestly, and settle it at the lowest level that justice allows — or decide it formally.

ANCHOR & WHO YOU CALL This is **RFO 33.2** / CDA territory. **Legal** from the start; the technical team on entitlement facts; DCMA/DCAA on quantum when dollars warrant.

Walk the situation

1. **Classify: REA or claim — the differences have teeth.** An **REA** is an informal request to be made whole: no interest running, no decision deadline, preparation costs generally allowable as contract administration. A **claim** under the CDA is formal: written demand for a sum certain · **certification over $100K** · **interest runs from receipt** · decision deadlines attach · prep costs unallowable, *so the same facts cost the Government more as a claim — which is the incentive to settle REAs well.*

2. **Evaluate entitlement before quantum.** Did the Government cause it — directed change, constructive change, late/faulty GFP, stop-work, differing site condition (with its notice requirement)? Entitlement is liability; quantum is arithmetic, *and money discussions before liability findings put the cart in front of the horse.*

3. **Work the REA like a negotiation, not a verdict.** Technical evaluation · Government position on entitlement and quantum · negotiate · settle by **bilateral mod with a release of claims** — or deny with a documented basis, *because the release is what makes settlement final instead of installment one.*

4. **If it becomes a claim, run the CDA clock.** Verify certification (over $100K) · claims must be brought within **6 years** of accrual · CO issues a **final decision** — for larger claims, within 60 days or with a firm date; silence becomes a **deemed denial**. Appeals: **Board within 90 days · COFC within 12 months**.

5. **Keep ADR on the table.** Mediation and structured alternatives resolve faster and cheaper than litigation, *and "settle at the lowest level" isn't weakness — it's the disputes system working as designed.*

KNOW COLD

- **REA:** informal · no interest · no decision deadline · prep costs allowable · certification rides at the SAT level ($350K) for DoD REAs.
- **Claim (CDA):** written sum certain · certified over **$100K** · interest from receipt · 6-year accrual limit · CO final decision with appeal rights.
- **Deemed denial:** CO silence past the deadline = denial; appeal clock starts.
- **Appeals:** Board 90 days · COFC 12 months.
- **Common triggers:** directed/constructive changes · late or faulty GFP · stop-work · Government delay · differing site conditions (notice first).
- **Settlement instrument:** bilateral mod + release of claims.

COMMON FOLLOW-UPS

> **"The contractor titled it 'REA' but demands a sum certain, certified, 'decision requested.'"**
> Substance over label — that's functionally a claim, and the CDA machinery (interest, deadlines) may already be running. Classify with Legal, fast.

> **"Why would a contractor choose the REA lane at all?"**
> Relationship preservation, allowable prep costs, speed, and settlement flexibility — the claim lane is leverage, but it burns goodwill and time.

> **"What must a differing-site-conditions recovery show first?"**
> Notice — the clause requires prompt written notice before conditions are disturbed, so the Government can investigate. No notice, weakened recovery.

WATCH-OUTS

- An unanswered claim doesn't age quietly — it deemed-denies into litigation with interest accruing.
- Paying quantum without an entitlement finding sets precedent for every future letter.
- Chains into mods (constructive change), property (faulty GFP), fiscal law (whose money pays).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A services contractor submits a certified "claim" for $128K: $67K for extra reporting a departed Government analyst "required weekly for five months," $38K for a two-week facility-access lockout during an exercise, and $23K in "claim preparation and outside counsel fees." The COR "vaguely remembers the reports being briefed." The PM wants to "pay the access piece to make it go away and deny the rest verbally."

DEBRIEF — WHY IS EACH FACT HERE?

> **Certified, $128K** — governs
> Over $100K and certified — the CDA clock and interest are running. This gets a written CO final decision, not a verbal anything.

Analyst-directed weekly reports — **governs**
Constructive-change candidate: unauthorized direction, performed, arguably benefiting the Government. Entitlement analysis (who directed, was it beyond the PWS) before any quantum talk.

Exercise lockout — **governs**
Government-caused suspension of access is classic delay entitlement — evaluate honestly; it may be the strongest element.

$23K claim-prep and counsel fees — **governs, against them**
In the claim lane those costs are unallowable — the element fails as pleaded.

"Pay one piece, deny the rest verbally" — **bait**
Piecemeal cash without findings plus a verbal denial = interest still running and no appealable decision. One written final decision (or a negotiated global settlement with release) closes it.

Board-ready answer, one breath: "It's a certified CDA claim, so interest is running and my output is a written final decision — or a settlement. Element by element: the lockout has real entitlement; the reports need a constructive-change analysis; the prep and counsel fees are unallowable in the claim lane. I'd negotiate a global resolution with a release if the facts support it, and decide formally what doesn't settle."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. Four differences between an REA and a claim.
2. Claim certification threshold and the accrual limit.
3. What is a deemed denial, and what does it start?
4. The two appeal routes and their clocks.

Answers: 1) Interest (claim only) · decision deadlines (claim) · prep costs (allowable REA / unallowable claim) · formality-certification. 2) $100K; 6 years from accrual. 3) CO silence past the decision deadline operates as denial — the appeal clock starts. 4) Board of Contract Appeals, 90 days; COFC, 12 months.

TOPIC · RFO PART 49

Terminations

Governed by RFO Part 49 — convenience as management decision, default as last resort, and the notices that make either stick.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A requirement that **evaporated** — or a contractor that did.
- **Missed deliveries**, failing performance, anticipatory failure.
- A **cure notice** drafted (or skipped).
- The words *T4C, T4D, show cause, reprocurement costs.*

THE SCENARIO

A fixed-price supply contractor is 60 days past delivery on the first article and now concedes it can't hold the required tolerances — though "with 90 more days and some funding relief" it might. Other suppliers can meet the spec. Your job: pick the Government's exit (or rescue) deliberately, and execute the notices exactly.

ANCHOR & WHO YOU CALL This is **RFO Part 49**. **Legal** before any notice moves — and remember commercial contracts terminate under their own clause framework, not Part 49.

Walk the situation

1. **Frame the choice: T4C is a decision, T4D is a verdict. Convenience**: the Government's unilateral right when the contract no longer serves it — the contractor is made whole for work done plus reasonable profit on it. **Default**: for failure to perform — a remedy of last resort with real consequences on both sides, *because a T4D that doesn't stick converts, painfully, into a T4C with damages.*

2. **Before defaulting, paper the runway. Cure notice** — the intent, the reasons, and time to fix (the 10-day rhythm) — required for performance-failure defaults; a straight late-delivery default doesn't require one, but when in doubt, send it. Then **show cause**: why should the Government not terminate — inviting excusability facts, *which is exactly what makes the eventual decision defensible: they were heard.*

3. **Test excusability before you decide.** Beyond the contractor's control and without its fault — the classic excusable causes. Here: a tolerance others can hold isn't excusable, it's capability, *and my earlier encouragement to "keep trying" gets examined too — did the Government waive the delivery schedule? Re-establish it in writing if so.*

4. **Execute the chosen termination exactly. T4D notice**: the failure, the right-to-proceed terminated, liability for excess reprocurement costs, non-excusability, reservation of rights — it is the CO's final decision, appealable. **T4C notice**: effective date, extent, instructions; contractor stops, protects, and submits a settlement proposal.

5. **Follow through on consequences.** After T4D: reprocure and pursue **excess reprocurement costs**, unliquidated progress payments, return of Government property — and record it honestly in past-performance systems. After T4C: negotiate the settlement fairly, *because convenience isn't punishment and the settlement table isn't where you relitigate the past.*

KNOW COLD

- **T4C:** unilateral management right · settlement = costs incurred + reasonable profit on work done (no anticipatory profit).
- **T4D runway:** cure notice (10-day rhythm; not required for pure late delivery) → show cause → decision on excusability → notice as CO final decision.
- **Excusable causes:** beyond control, without fault — think acts of God, sovereign acts, epidemics — capability shortfalls don't qualify.
- **T4D consequences:** excess reprocurement costs · recovery of payments/property · past-performance record.
- **Commercial contracts:** the commercial clause's cause/convenience framework — Part 49 machinery doesn't apply.
- **Waiver trap:** tolerating late delivery can waive the schedule — re-establish it in writing before defaulting.

COMMON FOLLOW-UPS

> **"What does the contractor get in a T4C settlement?"**
> Costs incurred on the terminated work, reasonable profit on what was done, and settlement expenses — not the profit they hoped to earn on work never performed.

> **"You defaulted them; the board later finds the failure excusable. Now?"**
> The T4D converts to a T4C — with the Government paying settlement instead of collecting reprocurement costs. That's why the excusability record precedes the notice.

> **"When would you skip the cure notice?"**
> A pure failure to deliver on time — the schedule was the cure period. But when facts are mixed, send it; a needless cure notice costs ten days, a missing one can cost the termination.

WATCH-OUTS

- Encouraging continued performance after the delivery date without reserving rights = schedule waiver risk.
- T4D is a last resort — boards want to hear cure, show cause, and consideration of alternatives first.
- Chains into REAs/claims (the settlement), finance (progress-payment recovery), and responsibility (the next award).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A grounds-keeping contractor has missed QASP standards three months running. The COR's log is thorough. The PM demands "default them today — we have it all documented." The contract runs seven more months; the next-best source's rates are 22% higher; and the contractor's owner calls you personally: her equipment was destroyed in a hangar fire last month — "give me six weeks and a schedule adjustment and I'll be back on my feet." The fire is confirmed; the performance failures predate it by two months.

DEBRIEF — WHY IS EACH FACT HERE?

Three documented months of QASP failure — governs
Real grounds — but for a performance-failure default the runway is cure notice first, not "today." The documentation makes the cure notice strong; it doesn't replace it.

The hangar fire — governs, partially
An excusable cause — for what it actually caused. It explains the last month, not the two before it. Slice the failure timeline in the analysis.

Replacement rates +22% — bait, mostly
Reprocurement economics inform the business judgment (and excess-cost recovery math) — they don't decide excusability or entitlement to default.

The personal appeal — bait
Compassion isn't a contract action — but a cure notice with a realistic cure period is lawful, humane, and strategically sound all at once.

Board-ready answer, one breath: "Cure notice today — the documented failures support it — with a cure period that acknowledges the fire's genuine impact on recent weeks. If performance doesn't recover, show cause, excusability analysis slicing pre-fire from post-fire failure, then the default decision with Legal. And the 22% figure waits for the reprocurement math, where it belongs."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. T4C settlement contents — and the profit rule.
2. The T4D runway, in order.
3. Three classic excusable causes.
4. What happens to a T4D later found wrongful?

Answers: 1) Costs incurred + reasonable profit on work performed + settlement expenses; no anticipatory profit. 2) Cure notice → show cause → excusability analysis → T4D notice as final decision. 3) Acts of God · sovereign/Government acts · fires/epidemics/similar events beyond control without fault. 4) Converts to a T4C — settlement owed instead of costs recovered.

TOPIC · RFO PART 35

R&D Contracting — BAAs, SBIR & OTs

Governed by RFO Part 35 (BAA at 35.102) — buying ideas instead of specifications, plus the non-FAR instruments beside it.

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- An **applied-research or innovation** requirement with no firm spec.
- A requiring activity that **refuses a SOW** to avoid stifling approaches.
- **Nontraditional or commercial-tech** performers in the market.
- The words *BAA, white paper, SBIR phase, OT, prototype.*

THE SCENARIO

The program wants "innovative approaches to autonomous flight-line inspection" — deliberately broad, many plausible technical paths, mostly nontraditional performers. Your job: pick the instrument that buys ideas without breaking competition rules — and know how the evaluation differs from Part 15.

ANCHOR & WHO YOU CALL This is **RFO Part 35**. The **scientific/technical community** does the evaluating; my job is choosing the vehicle and running a clean process.

Walk the situation

1. **Match instrument to how defined the need is.** A firm requirement → **RFP** (Part 15, head-to-head). A broad research interest with many valid approaches → **Broad Agency Announcement (RFO 35.102)** — a statement of interest/objectives, not a SOW, *because the BAA exists precisely so a spec doesn't strangle ideas the Government hasn't imagined.*

2. **Know how BAA evaluation is different — this is the board's favorite probe.** Proposals are peer-reviewed for **scientific and technical merit against the announcement's criteria — independently, not comparatively**. No competitive range, no head-to-head trade-off; the Government may fund one, some, parts, or none. That *is* the competition for BAA purposes, *a legally recognized competitive procedure despite never comparing proposal A to proposal B.*

3. **Use the BAA's shapes.** One-step (full proposals) · **two-step (white papers first** — cheap for industry, fast to triage) · open windows over years · standing BAAs with topic calls. For this scenario: a two-step open BAA fits the market's shape.

4. **Keep the adjacent tools in reach. SBIR**: phased small-business R&D (feasibility → prototype → Phase III anywhere in scale, sole-source eligible off competed early phases, with strong SBIR data rights). **OTs**: non-FAR agreements for research/prototypes — flexible terms that attract nontraditionals; prototype OTs can carry follow-on production if structured that way from the start. **Grants/cooperative agreements**: assistance, not acquisition — when the purpose is supporting research rather than buying it.

5. **Mind the money and the rights.** R&D rides RDT&E (with its 2-year clock); data rights strategy is set *now* (SBIR rights, OT terms), *because innovation instruments that ignore rights create the sustainment hostage crisis a different board question asks about.*

KNOW COLD

- **Instrument ladder:** firm spec → RFP · broad interest → BAA (RFO 35.102) · assistance purpose → grant/cooperative agreement · prototype/nontraditional → OT.
- **BAA evaluation:** independent scientific/peer review vs. announcement criteria — never head-to-head; fund all, some, parts, or none.
- **BAA shapes:** one-step · two-step (white papers) · open · with calls.
- **SBIR:** Phase I feasibility → Phase II prototype → Phase III production (no cap; sole-source eligible off competed phases; SBIR data rights).
- **OTs:** non-FAR flexibility for nontraditionals; production follow-on only if built into the prototype OT.

COMMON FOLLOW-UPS

"How is funding one BAA proposal 'competition' without comparing proposals?"
The BAA is a recognized competitive procedure: broad public announcement, stated criteria, independent merit review. The market competed by proposing; selection is merit against the standard, not against each other.

"Phase III SBIR sole source — really no J&A?"
The statutory program carries it when the work derives from competed Phase I/II — that's the authorized-by-statute lane. Document the derivation.

"When would you steer away from an OT?"
Traditional performers, well-understood requirements, or when the flexibilities aren't actually needed — OTs trade a mature protections framework for agility; spend that trade only when it buys something.

WATCH-OUTS

- A BAA written like a spec ("shall integrate with system X by date Y") is an RFP in costume — and protestable as one.
- Check SBIR authorization currency before promising new starts — reauthorization has lapsed before.
- Chains into data rights (SBIR/OT terms), fiscal law (RDT&E), and competition (what "competed" means here).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

A lab team wants to "BAA" a requirement to build 40 ruggedized sensor pods "to the attached ICD, delivered within 14 months, evaluated on price and past performance." Separately, they want to hand a Phase III production contract to a firm whose Phase II was performed for another service — "SBIR is SBIR, right?" — and a colonel asks why you can't "just OT the whole thing since OTs skip the rules."

DEBRIEF — WHY IS EACH FACT HERE?

"BAA... to the attached ICD, price and past performance" — governs
That's a production buy with a spec and comparative factors — an RFP wearing a BAA nametag. BAAs buy research toward broadly stated objectives with merit review; this gets the Part 15 treatment it actually is.

Phase III off another service's Phase II — governs, in their favor
Phase III derives from the *work*, not the agency — a competed Phase I/II anywhere in the program can carry Phase III. Verify the derivation and document it.

"OTs skip the rules" — bait
OTs exchange the FAR framework for negotiated terms — they don't suspend fiscal law, ethics, or the need for disciplined agreements; and their best use case (nontraditionals, prototypes) has to actually be present.

Board-ready answer, one breath: "Three answers: the pod buy is a specification-driven production requirement — that's an RFP, not a BAA; the Phase III is likely fine because derivation follows the SBIR work, not the sponsoring service — we verify and paper it; and OTs don't skip rules, they trade frameworks — I'd use one where nontraditional participation genuinely needs it, not as a bypass."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. What makes BAA evaluation lawful competition?
2. The three SBIR phases and Phase III's special property.
3. Two honest reasons to choose an OT — and one dishonest one.

Answers: 1) Public announcement + stated criteria + independent scientific merit review — selection against the standard, not between offerors. 2) I feasibility · II prototype · III production — no cap, sole-source eligible off competed early phases, SBIR rights persist. 3) Honest: nontraditional participation; terms flexibility a prototype genuinely needs. Dishonest: "skipping the rules."

Construction & Service Contracting

Construction under RFO Part 36 (bonds, site conditions, A&E); services under Part 37 (personal-services line, performance-based acquisition).

YOU'RE PROBABLY IN THIS TOPIC WHEN THE SCENARIO SHOWS…

- A **construction project** — bonds, site conditions, liquidated damages.
- A services requirement drifting toward **Government supervision of contractor staff**.
- A **PWS vs. SOW vs. SOO** decision.
- The words *Miller Act bonds, differing site conditions, QASP, personal services.*

THE SCENARIO

Two files on your desk: a $2.8M facility renovation, and a five-year engineering-support services requirement whose draft PWS reads like a staffing plan ("contractor shall provide six engineers reporting to the branch chief"). Your job: run construction by construction rules — and pull the services buy back from the personal-services line.

ANCHOR & WHO YOU CALL Construction is **RFO Part 36**; services **Part 37**. **Legal** on the personal-services determination; the COR/QASP machinery on surveillance.

Walk the situation

1. **Construction runs on its own rails.** Sealed bidding is the default method where its conditions hold · **A&E services** select on qualifications (Brooks-Act style), never price-first · disclose the project's **magnitude range**, not the estimate.

2. **Bonds protect the people the Government can't see.** Above the bonding threshold (**$150K**): **performance bond** (the work) and **payment bond** (subs and suppliers — who can't lien Government property), *which is the whole reason payment bonds exist.* Liquidated damages ride larger projects — rates set as genuine estimates of daily harm, not penalties.

3. **Differing site conditions have a notice tripwire.** The clause pays for materially different subsurface/latent conditions — but the contractor must give **written notice before disturbing them**, *so the Government can investigate before the evidence becomes a basement.*

4. **Services: hold the personal-services line.** The test is **supervision**: Government personnel directing contractor employees day-to-day makes an employer-employee relationship — personal services, unlawful without specific authority. "Six engineers reporting to the branch chief" fails on its face — rewrite to outcomes, *because we buy results from a contractor who manages its own people.*

5. **Buy services performance-based, by preference.** **PWS** (outcomes + standards) or **SOO** (objectives; offerors propose the PWS) · measurable standards · a **QASP** that surveils what matters · incentives where they buy behavior. Order of preference: FFP performance-based first.

KNOW COLD

- **Construction (Part 36):** sealed bidding default · A&E by qualifications · magnitude range disclosure · LDs as real estimates.
- **Bonds (>$150K):** performance + payment (subs can't lien Government property).
- **Differing site conditions:** written notice before disturbing — no notice, weakened recovery.
- **Personal services test:** continuous Government supervision of contractor staff = unlawful absent authority.
- **PBA:** PWS/SOO + measurable standards + QASP + incentives · FFP performance-based preferred · services extension clause ≤ 6 months.

COMMON FOLLOW-UPS

"Why can't you pick the A&E firm on price like everything else?"
Statutory design: qualifications-based selection, then negotiate a fair price with the most qualified — design quality drives lifecycle cost far more than design fee does.

"What's the difference between a PWS and a SOO?"
PWS: the Government defines outcomes and standards. SOO: the Government states objectives and offerors propose their own PWS — competition on approach, with the winning PWS becoming the yardstick.

"The COR is assigning daily tasks to contractor staff 'for efficiency.'"
That's the personal-services drift in action — direction flows to the contractor's manager against PWS outcomes. Fix the practice, retrain the COR, and check whether the PWS invites it.

WATCH-OUTS

- Nonpersonal on paper, personal in practice — boards ask about the *practice*.
- Skipping magnitude disclosure or missizing bonds unravels construction solicitations late and expensively.
- Chains into REAs (site conditions), options/extensions (the 6-month cap), terminations (default machinery on construction).

LAYER B — DRILL IT

MESSY SCENARIO — ANSWER OUT LOUD BEFORE READING THE DEBRIEF

Week three of a $900K taxiway-repair contract: the contractor's excavator uncovers a buried debris field of old construction rubble not on any drawing, keeps digging "to stay on schedule," and a week later submits a $210K REA with photos. Meanwhile your facilities customer, thrilled with the same contractor's site crew, asks you to "add a clause so their foreman can take daily direction from our shop lead on small stuff — it'll save everyone emails."

DEBRIEF — WHY IS EACH FACT HERE?

Kept digging, notice a week later — governs
The differing-site-conditions clause demands notice *before disturbance* so the Government can verify. Late notice doesn't automatically kill recovery, but it damages it — and the photos don't substitute for the investigation we never got to do. Entitlement analysis with that lens.

Debris not on any drawing — governs
A genuine Type-condition candidate — materially different from the indications. The merits may be real even while the notice failure discounts them.

"Daily direction from our shop lead" — bait
That clause would write personal services into the contract — Government supervision of contractor employees. Direction goes to the contractor's foreman through the contract's terms, period.

Board-ready answer, one breath: "Two answers: the REA gets an honest differing-site-conditions analysis — real merits, discounted by the notice failure that cost us our investigation; and no, we don't write a daily-direction clause — that's personal services. The shop lead's needs route through the PWS and the contractor's own supervisor."

RETRIEVAL — PRODUCE THESE FROM MEMORY

1. The two Miller-Act-style bonds and whom each protects.
2. The differing-site-conditions notice rule and its reason.
3. The personal-services test in one sentence.
4. PBA's required elements.

Answers: 1) Performance bond — the Government's work; payment bond — subs/suppliers who can't lien Government property. 2) Written notice before disturbing the condition, so the Government can investigate. 3) Continuous Government supervision of contractor employees creates an employer-employee relationship — unlawful absent specific authority. 4) PWS (or SOO) · measurable standards · QASP · incentives where appropriate.

The Scenario Bank — spot it, then walk it

Eight unlabeled drills. No headings give away the topic — read fact-by-fact, decide which frameworks are in play, answer out loud, then check the key. This is the board's actual skill; train it last and train it most.

BANK · 01

SCENARIO

You inherit a services contract supporting a munitions test range: three-year base, two one-year options, option year one begins in 60 days. The COR emails you: performance has been "shaky since spring" — two missed surveillance reports and a near-miss safety writeup — but the PM "already told the contractor we're picking up the option, since re-competing would take a year." Meanwhile the contractor's program manager mentions on a call that they've been "doing a little extra environmental monitoring the range officer asked for back in March — we'll square up the cost later."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Option exercise (RFO Part 17)
Before exercising: price still fair and reasonable · funds available · option still meets the need and is the best method · contractor eligible in SAM · **performance considered**. Two missed reports and a safety writeup go straight into that determination — an option is a unilateral *right*, never an obligation.

Contractor performance (service contract admin)
Document the deficiencies now, engage the COR's surveillance records against the QASP, consider a letter of concern or cure path — the record you build is what makes *any* downstream decision (option, extension, termination) defensible.

Unauthorized commitment (the "extra monitoring")
The range officer had no authority to direct new work. The Government isn't bound — this is **ratification** territory: investigate, get the facts and a statement from whoever directed it, confirm funds were and are available, and route to the ratifying authority. Train the range officer — direction flows through the PCO only.

The PM's promise — bait
"Already told the contractor" binds nothing — only the PCO commits the Government. But it does create a communication problem you now manage deliberately.

Topics exercised: Options · contractor performance/service administration · unauthorized commitments & ratification · authority. **Follow-ups the panel would chase:** what must be true before exercising an option? what if you decide not to exercise — what are your alternatives? who ratifies and at what threshold?

BANK · 02

SCENARIO

A lab complex needs custodial and preventive-maintenance support for the next five years, starting this October. FM says the requirement will be funded annually with O&M. The facility manager wants "one award covering all five years so we never re-do this," and suggests obligating the first two years now "since this year's money is healthy."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Fiscal law — severability
Recurring custodial/PM support is **severable** — benefit delivered as performed. Annual O&M funds a period generally ≤12 months; two years of obligation from one year's O&M fails Time.

Structure — base plus options
The five-year need is met by a base year plus four one-year options (services rail: base+options ≈ 5 years), each option exercised with the 17.204-1 gates and funded by its own year's money — continuity without violating the appropriation clock.

"Obligate two years now" — bait
Healthy money isn't the test; bona fide need of the appropriation's period is.

Topics exercised: fiscal law (severable services, Time) · options structure · acquisition planning. **Follow-ups:** severable vs. non-severable definitions; what if the services crossed fiscal years; what gates precede each option exercise?

BANK · 03

SCENARIO

You solicited a $1.7M simulator-maintenance requirement full-and-open, 30-day response period, healthy industry-day attendance. One proposal arrives — from Meridian Support Group, priced 6% under the IGCE. The PM is delighted: "award it before they change their mind."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Competition — one offer after full and open
The competition *was* full and open — one responsive offer doesn't undo that. Find out why the field passed (debrief the no-bids informally; the answers improve the next solicitation) and document it.

Pricing the single offer
With one offer, "adequate price competition" needs care — price analysis against the IGCE, history, and market data carries the fair-and-reasonable determination. At $1.7M, no certified data (under threshold, and it's a competitive solicitation); other-than-certified data if the analysis needs it.

"Before they change their mind" — bait
Speed is fine — skipping the price-reasonableness record isn't.

Topics exercised: competition · price analysis · documentation. **Follow-ups:** what if the response period had been under 30 days; when would you resolicit; what data can you demand from the single offeror?

BANK · 04

SCENARIO

A fixed-price contractor is 45 days late delivering deployable generator sets. Three weeks ago the COR emailed the contractor "keep at it — we need these units." The contractor now says the delay stems from a subcontractor's plant fire, "so it's excusable," and adds that since the Government "told us to keep working, you can't default us anyway." The PM wants them terminated today and the units bought elsewhere.

ANSWER KEY — THE FRAMEWORKS IN PLAY

Terminations — default posture after late delivery
Late delivery on FP supplies supports T4D without a cure notice — *but* the intervening "keep at it" message raises **schedule waiver**. Re-establish a firm delivery date in writing (show cause framing) before any default.

Excusability — the sub's fire
Fires can be excusable if beyond control and without fault at both prime and sub tiers — test whether the prime could have mitigated (second sources, schedule buffer). Slice entitlement by timeline.

Authority — the COR's email **— bait, with teeth**
The COR can't modify the schedule — but the Government's conduct (through any agent) can still create waiver facts. Both things are true; fix the record.

Reprocurement
If T4D holds, excess reprocurement costs are recoverable — buy the replacement reasonably and mitigate.

Topics exercised: terminations · excusable delay · authority/waiver · reprocurement. **Follow-ups:** when is a cure notice required; what makes delay excusable; what happens if the default is later overturned?

BANK · 05

SCENARIO

A cyber vulnerability in runway-lighting controllers must be patched fleet-wide "within 60 days" per an operational order. One holder on your five-vendor infrastructure MA-IDIQ built the original controller firmware; the other four have never touched it. The program wants a $1.4M direct task order to the builder today, and asks whether you can "skip the paperwork given the threat."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Fair opportunity — exception analysis
Two candidate exceptions: **urgency** (unacceptable delay in meeting the 60-day order) and **only one capable** (unique firmware knowledge). Pick the one the facts actually support — probably both braid together here — and write the **D&A** (over SAT), approved at the right tier ($1.4M → Competition Advocate), posted.

"Skip the paperwork" **— bait**
The exception *is* the paperwork lane — a D&A takes hours, not weeks, when the facts are real. Skipping it converts a defensible urgent award into a finding.

Scope check
Confirm cyber-patch work is within the IDIQ's scope — an out-of-scope order is a new procurement no exception can save.

Topics exercised: fair opportunity exceptions · D&A mechanics · scope. **Follow-ups:** approval tiers; could a UCA be justified if price can't be settled in time; what changes if the order were $40M?

BANK · 06

SCENARIO

During a source selection for base network services, your cost analyst mentions at a staff meeting — with two support contractors in the room — that "the incumbent's past-performance rating came back weaker than expected." Four days later, the incumbent's capture lead emails the PM asking to "discuss addressing any performance concerns before FPRs." The PM forwards it to you with: "harmless, they obviously heard nothing specific."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Procurement integrity — disclosure
A past-performance evaluation in an active selection is source selection information; saying it in front of support contractors is a disclosure. Legal now · facts · affidavits on what was heard and where it went · MFR from the analyst · written impact determination.

The capture lead's email
Evidence the information may have *reached an offeror* — that's the high-impact branch of the determination (and their "discuss before FPRs" ask is itself an improper exchange to decline in writing).

"Harmless, nothing specific" — bait
Impact is determined on the record, not presumed by the PM. If the selection is compromised, the HCA decides the path — and unequal-information problems can force reopened discussions or corrective action.

Topics exercised: PIA · source selection integrity · protests (the one you're preventing). **Follow-ups:** the containment sequence; who decides if there's impact; what if it had reached a different offeror than the one it concerned?

BANK · 07

SCENARIO

A PM has $6M of this year's RDT&E and wants to start a four-year, ~$40M sensor-fusion prototype effort immediately. Her plan: award the whole effort now, fund it incrementally "as money shows up," and if RDT&E runs short in the out-years, "O&M can cover integration and test since that's kind of operations." She wants the strategy meeting tomorrow.

ANSWER KEY — THE FRAMEWORKS IN PLAY

Purpose — the O&M plan fails now
Development integration and test is development — RDT&E work can't ride O&M "later." Kill that branch in the strategy meeting, on the record.

Structure — incremental funding on a cost-type development
A cost-type effort can be incrementally funded with Limitation of Funds discipline — but the award must match honest funding expectations, and unfunded out-years are program risk to surface, not paper over.

Severability lens
A prototype producing a single outcome leans non-severable — check whether discrete fundable phases (design → build → test) can structure the effort honestly instead.

"Money shows up" — bait
Hope is not a funding profile — the strategy documents what's programmed, and the contract's ceiling and clauses reflect it.

Topics exercised: fiscal law (Purpose, incremental funding) · acquisition planning · contract structure/type. **Follow-ups:** LoC vs. LoF; severable vs. non-severable; what the CO tells the PM when out-year funding is unprogrammed?

BANK · 08

SCENARIO

A $780K interior-renovation contractor opens a wall and finds friable asbestos wrap on piping — none of the specs or drawings mention it. He stops work, photographs everything, notifies you in writing the same day, and states he "cannot finish the job at this price and wants to be paid for work done and released." The customer asks if you can "just make the scope smaller so he finishes the safe rooms and we call it complete."

ANSWER KEY — THE FRAMEWORKS IN PLAY

Differing site conditions — done right
Immediate written notice before further disturbance: textbook. The condition (latent, materially different from the documents) supports an equitable adjustment for the changed work — abatement, schedule, price.

The contractor's exit demand
A DSC entitles him to an adjustment, not to walk away — performance continues under the adjusted terms once directed. If the Government's need truly changed, *we* hold the T4C/partial-termination pen, not him.

"Shrink the scope, call it complete" — bait, partially
Descoping is legitimate — as a deliberate partial termination for convenience or deductive change, priced and papered — not as an informal handshake that leaves asbestos in the walls and entitlements unresolved.

Topics exercised: differing site conditions · REA mechanics · modifications/descoping · T4C (partial). **Follow-ups:** Type I vs. Type II conditions; deductive change vs. partial termination; who prices the abatement work and how?

APPENDIX A

The Threshold Card

Current as of July 2026 (post-October 2025 inflation adjustment; post-FY26 NDAA cutover). Verify anything you'll cite — thresholds move.

CORE

- **Micro-purchase threshold: $15,000 · SAT: $350,000**
- **Certified cost or pricing data: $10M** (actions entered after 30 Jun 2026; $2.5M for earlier contracts and their mods) — prohibited at/below SAT
- **Commercial streamlined procedures (RFO 12.201-1): $9M**
- **Market research documentation (non-commercial, RFO 10.001): $7.5M** · current within 18 months

APPROVALS & COMPETITION

- **J&A / fair-opportunity D&A tiers (RFO 6.104-2):** ≤$900K CO · ≤$20M Competition Advocate · ≤$90M ($150M DoD) HPA/PEO · above SPE
- **8(a) sole source, no J&A:** DoD $100M · civilian $30M · **competitive 8(a):** $8.5M mfg / $5.5M other
- **HUBZone / WOSB sole source:** $8.5M mfg / $5.5M other · **SDVOSB:** $8.5M / $5M
- **Subcontracting plan:** $900K ($2M construction)
- **Task-order protests (GAO):** $35M DoD / $10M civilian · **order debriefs (RFO 16.507):** $7.5M

AFTER AWARD & OTHER

- **Claims certification: $100K** · CDA accrual limit 6 years · appeals: Board 90 days / COFC 12 months
- **REA certification (DoD): SAT ($350K)**
- **UCA:** obligate ≤50% NTE pre-proposal / ≤75% after · definitize in 180 days
- **Construction bonds: $150K** · **E.O. 14402 non-FFP justification: $100M DoD** ($10M most agencies)
- **Fee ceilings (CPFF):** 15% R&D · 10% most others · 6% A&E
- **Ratification:** over SAT → HCA (delegable) · at/under → COCO level

APPENDIX B

Regulatory Currency — What Changed in 2025–2026

The board expects current numbers and awareness that they moved. Lead with the new value; know the old one existed.

OCTOBER 2025 — FIVE-YEAR INFLATION ADJUSTMENT

- MPT $10K → **$15K** · SAT $250K → **$350K** · commercial streamlined $7.5M → **$9M**
- Subcontracting plans $750K/$1.5M → **$900K/$2M** · socioeconomic sole-source caps raised to the $8.5M/$5.5M ($5M SDVOSB) family · J&A tiers re-set ($900K / $20M / $90M–$150M DoD)

FY26 NDAA (DEC 2025) — THE PRICING EARTHQUAKE

- **Certified-data threshold** → **$10M** for actions entered after 30 Jun 2026 (§1804) — the RFO's printed 15.403-3 text lags the statute; the statute controls
- CAS coverage narrowed sharply (per-contract trigger raised) · nontraditionals and small businesses broadly exempted from certified data (§1826)
- Commercial-first determination expected before noncommercial DoD buys (§1822)

THE REVOLUTIONARY FAR OVERHAUL (E.O. 14275) — THE FRAME FOR EVERYTHING

- The RFO **is** the FAR, overhauled — used in lieu of the legacy 48 CFR text; DoD implements through the R-DFARS class deviations
- Citations renumbered — e.g., competition exceptions 6.302-x → **6.103-x** · J&A 6.303/304 → **6.104** · ratification 1.602-3 → **1.405** · cost/pricing exceptions → **15.403-2** · option exercise → **17.204-1** · small business 19.5/8/13/14/15 → **19.104–19.108**
- **E.O. 14402** (Apr 2026): justification for other-than-fixed-price awards above agency thresholds (RFO 16.104)
- Verify current text before the board — the full corpus is searchable free at **acqvault.com**

APPENDIX C

The Preparation Roadmap

Work backward from the chair: fluency first, then recognition, then pressure.

1. **Foundation.** Courses complete, nomination in, and one honest self-assessment: which topics could you not walk today? That list is your syllabus.
2. **Layer A pass.** One topic at a time: read the walkthrough, close the guide, and say the walk out loud from the trigger cues. Know-cold boxes become flash material.
3. **Layer B pass — days later, out of order.** The messy scenarios and retrieval prompts, spaced and shuffled. If you recognized the topic because of the chapter you were in, it didn't count — that's what the Bank is for.
4. **The Bank, cold.** Unlabeled scenarios, spoken answers, one breath of framework-naming before any detail. Recruit a colleague to read them to you and chase follow-ups.
5. **Murder boards.** SMEs, then a mock board: in-depth scenarios with branching follow-ons across topic seams. Calibrate pace — name the framework, name your help, walk it, land it.
6. **The chair.** You've built the script for every topic and practiced finding it in noise. Answer the way you trained: default rule first, steps in order, honest about what you'd verify.

LAST WORD The warrant isn't a memory test — it's the Government deciding it can trust your judgment without a dollar ceiling. Every answer that names the framework, brings the right experts, and protects the record is evidence for that decision.